Keva

MONARCH NETWORTH CAPITAL

INITIATING COVERAGE

SH KELKAR & CO. LTD.

A Century of Crafting Sensorial Delight

APRIL 2025

ANALYSTS

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S H Kelkar & Company Ltd. | BUY | TP: INR 250

Scent of Resilience and Strategic Transformation

MONARCH NETWORTH CAPITAL

Initiating coverage

We initiate coverage on SH Kelkar & Company Ltd. (SHK) with a BUY rating and a target price of INR 250. As India's largest homegrown Fragrance & Flavor (F&F) company, SHK has built a strong global footprint, supplying to 90+ countries and securing multi-year contracts with leading MNCs. India's F&F export market remains promising, and SHK has reinforced its position through strategic acquisitions that enhance capabilities and expand its reach. Despite macroeconomic challenges and the April 2024 fire incident, SHK demonstrated agility in recovery and remains on track for sustained profitability. With improving margins, a stronger cash position by FY27E, and robust FCF generation, we believe SHK is well-positioned for a re-rating.

- **Demonstrated history of resilience amid challenges**: SHK has demonstrated remarkable resilience and adaptability, navigated multiple disruptions while sustained a 12% CAGR between FY20 and 24. The demonetization shock in 2016 and GST transition in 2017 posed significant hurdles, particularly affecting smaller clients, SHK responded by optimizing its client portfolio, shifting focus to larger FMCG players. Notably, despite recent setbacks like Vashivali fire incident in Apr'24, SHK acted swiftly, ensuring minimal operational impact.
- **Flavours scaling up, Fragrance sustaining momentum:** SHK is ramping up its Flavours segment, which currently contributes ~12% of revenue. To accelerate this expansion, the company is investing in capacity expansion, product diversification, and enhanced R&D capabilities to develop innovative and sustainable Flavour solutions. *These initiatives position the Flavours segment for a high-teen CAGR over FY24-FY27, outpacing overall revenue growth*. Simultaneously, the Fragrance segment continues strong momentum, driven by past initiatives in innovation, client expansion, and category growth, ensuring a balanced and sustained growth trajectory across both key verticals.
- **Acquisitions driving growth and strengthening capabilities**: SHK's acquisitions have significantly enhanced its market presence, product portfolio, and R&D capabilities, paving the way for sustained growth. *Notably, the acquisitions of Holland Aromatics (Netherlands) and Creative Flavours & Fragrances (Italy) have bolstered SHK's European footprint, reinforcing its position in the global Fragrance segment*. These acquisitions have provided access to advanced formulation expertise, a diversified customer base, and expanded production capacity, enabling SHK to compete effectively in the premium fragrance market. Additionally, the company has leveraged synergies from these deals to drive operational efficiencies, innovation, and cross-market expansion.
- **Valuation & Views.** At CMP, SHK is trading at 17.2x FY26E and 12.8x FY27E earnings. We assign a multiple of 18x on FY27E EPS of INR 14, implying 41% upside from current levels. SHK is strategically positioned in a highly consolidated global fragrance industry, where four global players control over 70% of the market. In this context, SHK's recent wins from a large global MNC client, along with its expanding international footprint, positions it well to gain market share and scale. *We also draw a parallel with Galaxy Surfactants, another FMCG enabler, which has historically traded at superior valuation multiples. Both benefit from the structural growth of the FMCG sector, but with the added advantage of offering more premiumization-led, brand-defining inputs like fragrances.* As the market begins to recognize SHK's differentiated positioning, improving margin profile, and global ambitions, we believe a re-rating is warranted.

Target price	250
CMP*	178
Upside	41%

Price Performance (%)

	1M	6M	1Yr
S H Kelkar	9.1	-38.0	-18.1
Nifty	5.1	-7.9	3.6

Key Data	
Bloomberg Code	SHKL:IN
Curr Shares O/S (mn)	138
Diluted Shares O/S (mn)	138
Mkt Cap (INRbn/USDmn)	24.6/288
52 Wk H / L (Rs)	336/157
3M Average Vol. (thd)	390

Source: Bloomberg, NSE, Company

Shareholding pattern

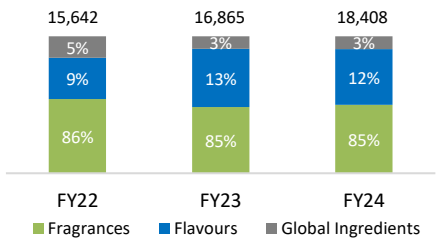
Particulars	Mar-24	Jun-24	Sep-24	Dec-24
Promoters	58.9%	58.7%	55.6%	55.6%
DIIs	0.3%	0.3%	2.3%	3.1%
FIIs	8.9%	8.7%	9.4%	7.5%
Public and ESOPs	31.9%	32.3%	32.7%	33.7%

Source: BSE

Why should you read this report?

- *How S H Kelkar & Co. has managed to grow in a competitive fragrances and flavours segment*
- *Past acquisitions strategy and roadmap ahead*
- *Key drivers of the fragrance and flavours industry domestically and globally*

S H Kelkar Revenue Mix, INR mn



Source: Company, MNCL Research

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Y/E (INR in mn)	Revenue	YoY (%)	EBITDA	EBITDA (%)	Adj. PAT	Adj. PAT (%)	EPS	RoAE	RoCE	P/E (x)	EV/EBITDA (x)
FY22	15,642	18.3%	2,146	13.7%	1,605	10.3%	10.8	14.5%	9.9%	16.5	14.5
FY23	16,865	7.8%	2,173	12.9%	814	4.8%	4.5	5.6%	8.9%	39.3	14.3
FY24	18,408	9.1%	3,033	16.5%	1,227	6.7%	9.0	10.6%	14.6%	19.9	10.2
FY25E	21,170	15.0%	2,964	14.0%	1,286	6.1%	2.2	2.5%	12.7%	80.0	10.5
FY26E	23,657	11.8%	3,478	14.7%	1,431	6.0%	10.3	10.9%	15.2%	17.2	8.9
FY27E	26,614	12.5%	4,165	15.7%	1,929	7.2%	13.9	13.0%	17.8%	12.8	7.4

Source: Company, MNCL Research estimates

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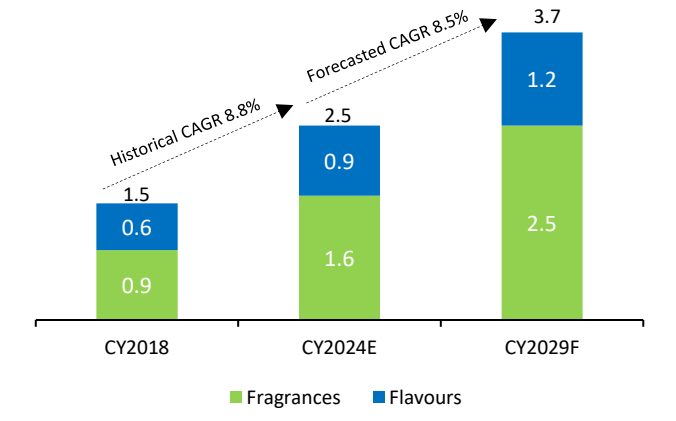
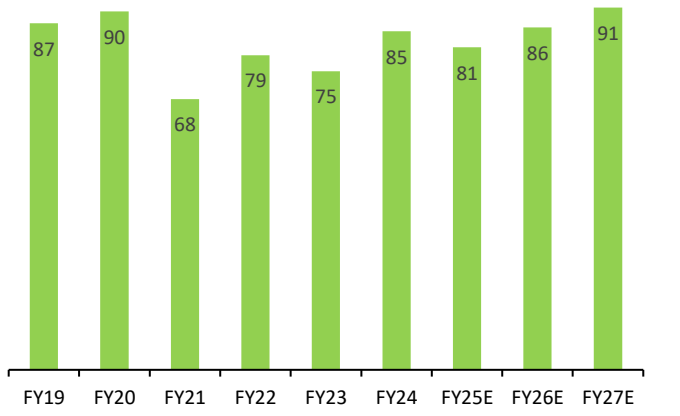
Investment Thesis in Charts

Exhibit 1: Indian Fragrance and Flavour market to grow at 8.5% CAGR between 2024-2029 (US$ bn)



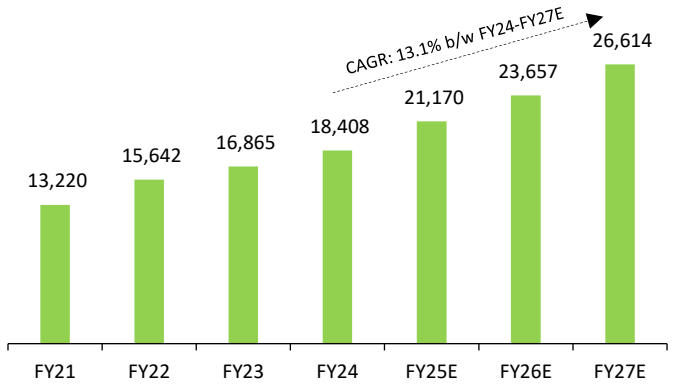
Source: Industry, MNCL Research

Exhibit 2: Supported by stable investments in Indian FMCG sector (INR bn)



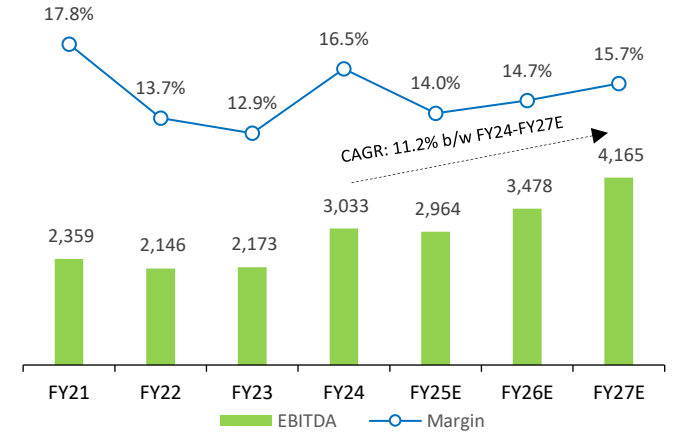
Source: Industry, MNCL Research

Exhibit 3: Operating Revenue to grow at ~13% CAGR over FY24-FY27E (INR mn)



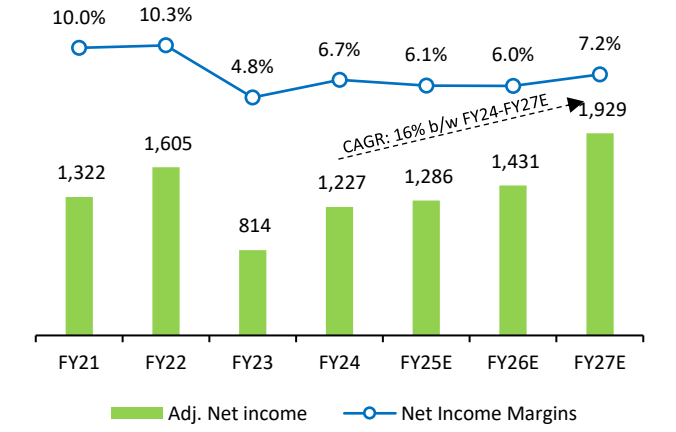
Source: Company, MNCL Research Estimates

Exhibit 4: EBITDA Margin to hold steady at 15%+ by FY27E (INR mn)



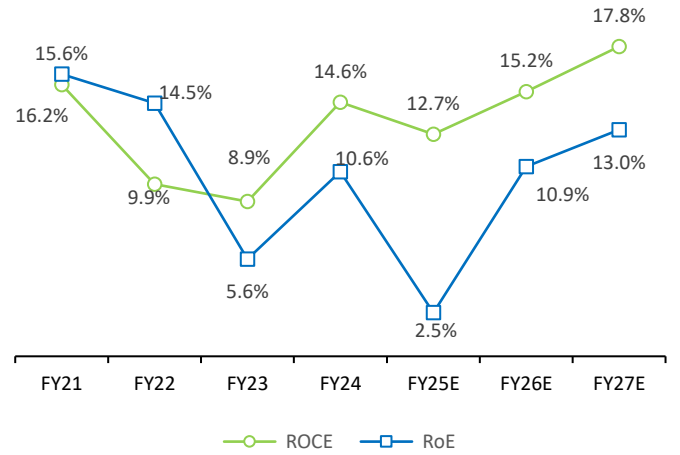
Source: Company, MNCL Research Estimates

Exhibit 5: Adjusted Net Income expected to grow at 16% CAGR between FY24-FY27E (INR mn)



Source: Company, MNCL Research Estimates

Exhibit 6: Return Ratios to improve gradually as business scales



Source: Company, MNCL Research Estimates

Frequently Asked Questions

1. How has SH Kelkar grown and transformed to establish its presence in the global Fragrance and Flavour (F&F) industry over the years?

Over the years, SH Kelkar has transformed from a local player into a global F&F leader through strategic expansions and innovation. Founded in 1955 with roots in 1922, it established R&D and manufacturing facilities in the 1960s-70s and expanded globally via Keva Fragrances (1980s). The 1990s marked a technological leap with India's first automated robotic unit, followed by aggressive investments in new plants, R&D centres, and acquisitions like PFW in the 2000s. Blackstone's INR 2.4bn investments in 2012 fuelled further growth, leading to SHK's 2015 listing and its expansion into patented molecules and acquisitions.

Despite challenges like demonetization (2016) and GST implementation (2017), the company mitigated risks by shifting focus from small-scale clients to larger FMCG brands, reducing dependency on smaller clients. A transformative moment came in 2021 with a large order from a major homecare MNC, along with its international expansion across the US, Germany, the UK, and Indonesia. By FY24, SHK exported to 90+ countries, with 57% of revenue from India, 24% from Europe, and 19% from RoW.

2. What are the core products of SH Kelkar, and how are its product offerings segmented?

SHK is a leading manufacturer of Fragrance and Flavour compounds, catering to a diverse global market, including India, Europe, and other international regions. The company primarily specializes in the development and production of Fragrance compounds, which account for over 85% of its total revenue.

Breakdown of Product Offerings by Segment:

- **Fragrances (Major Revenue Contributor: 85%+)**: Used in FMCG products such as: Personal Care (soaps, shampoos, deodorants, cosmetics), Home Care (detergents, air fresheners, floor cleaners), Fabric Care (laundry detergents, fabric softeners), Fine Fragrances (perfumes and body mists).
- **Flavors (Smaller Contribution to Revenue):** Used in the food & beverage industry, including Confectionery, Dairy products, Beverages, Savory products.

Exhibit 7: Segment breakdown

Segment	Sub-segment	Description	*% (FY24)*
Fragrance	Fragrance	Fragrance compositions are crafted by blending raw materials such as aroma chemicals and essential oils, forming intricate scent profiles used in the production of personal care and household products.	*87.9%*
	Branded Small Pack	Branded fragrance products sold in small quantities (25-500g under Cobra Brand)	
	Fragrance Ingredients	The sourcing, processing, and supply of a diverse range of ingredients derived from botanicals, spices, and other natural sources, including essential oils and oleoresins.	
Flavours	Flavors	Flavour products used as raw materials in food products and pharmaceuticals.	*12.1%*

Source: Company, MNCL Research

3. What is SH Kelkar's key markets, and which geographies are they targeting for expansion?

- India is SHK's most significant market, contributing INR 10.5bn (56.9% of total revenue) in FY24. The company is the largest fragrance producer in India by revenue and exports its products to over 90 countries. Its brands—SHK, Cobra, and Keva—are market leaders in their respective Fragrance segments and enjoy strong brand recognition.
- Europe is the company's second most important market, generating INR 4.5bn (24% of total revenue) in FY24, with a 14% YoY growth. SH Kelkar operates in this region through Keva Europe. To strengthen its presence, the company has made two strategic acquisitions—Creative Fragrances and Flavors in Italy (specializing in fine fragrances) and Holland Aromatics in the Netherlands.
- The Rest of the World (RoW) operations contributed INR 3.5bn, representing 19% of the total revenue. This segment highlights SHK's growing global footprint and its ability to cater to diverse markets beyond India and Europe.

- The US remains a key strategic market for SHK, prompting the recent incorporation of a subsidiary to drive expansion in the region. Simultaneously, the company is strengthening its presence in Southeast Asia, with a focus on increasing sales through the establishment of a new manufacturing facility in Indonesia.

4. How does SHK navigate the competitive landscape in India and globally?

The F&F industry is highly competitive, driven by innovation, product quality, regulatory compliance, pricing, service excellence, and customer insights. Globally, SHK operates alongside industry giants like Givaudan, IFF, DSM-Firmenich, and Symrise, which have substantial financial strength, advanced R&D capabilities, cutting-edge technology, and established brand equity.

In India, SHK holds a market-leading position, competing with both global MNCs and domestic players. Its deep understanding of local consumer preferences, cost-efficient solutions, and ability to offer region-specific customizations provide a competitive edge. However, rising investments by global players in India's FMCG and personal care segments pose a challenge.

5. How is SHK leveraging acquisitions to strengthen its global fragrance and flavour portfolio??

In the highly consolidated and mature F&F industry, achieving above-industry growth often hinges on strategic acquisitions, a model successfully adopted by global leaders like Givaudan, IFF, and Symrise. SHK has embraced this approach, using acquisitions to expand into new product segments and geographies, accelerating its global presence.

The acquisition of Creative Flavours & Fragrances (CFF) reinforced SHK's position in Europe, a key market for premium and luxury fragrances while diversifying its portfolio into fine fragrances. CFF's expertise in innovative scent profiles and customized solutions enables SHK to serve high-end and niche markets. The addition of Holland Aromatics, another established European fragrance manufacturer, further strengthened its foothold, complementing the CFF acquisition and enhancing its market reach in Europe's competitive fragrance sector.

Exhibit 8: Past Acquisitions

Company	Segment	Year	Deal Value	% Acquired	Rationale
Creative Flavours & Fragrances	Flavours & Fragrances	2018	EUR 28mn	100%	To enhance its global footprint and strengthen its product offerings, particularly in the fine fragrances and fabric care segments.
Nova Fragranze S.r.l.	Fragrances	2021	EUR 3.7mn	100%	Expansion in European markets and diversification into high-margin segments
Holland Aromatics	Fragrances	2021	EUR 21mn	100%	Expansion in European markets and broadened product portfolio and client base
NuTaste Food and Drink Labs Pvt. Ltd.*	Flavours	2021	INR 13.25cr	100%	To accelerate the growth of its flavour business, diversify its product offerings, and strengthen its position in the FMCG and QSR markets

Source: Company, MNCL Research

Note: Company has diluted stake in NuTaste Food and Drink Labs, current ownership in the entity is 40% as per Q3FY25.

Established player in Fragrance & Flavours industry

S H Kelkar and Company Ltd. (SHK), founded in 1922, is the largest Indian-origin Fragrance & Flavour company in India, with a strong global presence, supplying its products to over 90 countries. Operating under the SHK, Cobra (Branded small pack products), and Keva brands, the company has created, manufactured, and supplied more than 10,000 fragrances, including Fragrance Ingredients and Flavours for the personal care, home care, food, and beverage industries, available as compounds or individual ingredients. With a diverse customer base of over 4,100 clients, SHK serves leading national and multinational FMCG companies, Fragrance and Flavour Blenders, and producers.

The company has a strong and dedicated team of scientists, perfumers, flavorists, evaluators, and application executives across its facilities and seven creation and development centers in India, Singapore, Amsterdam, Indonesia, and Italy, focused on innovating fragrance and flavour products. Over the past four years, its research team has developed 10 new molecules and filed 20 patent applications for various molecules, systems, and processes. *Six patents have been commercially utilized in the deodorant and fine fragrance categories*.

Exhibit 9: SHK diverse portfolio spanning Fragrances & Flavours

Source: Company, MNCL Research

The fragrance portfolio consists of products in the following categories:

- **Personal Wash**: Fragrance compounds for personal wash products such as toilet soap, shower gels and hand wash.
- **Fabric Care**: Manufacture fragrance compounds for fabric care products, such as detergents and fabric softeners.
- **Skin and Hair Care**: Manufacture fragrance compounds for skin and hair care products, such as creams, shampoos and hair oil.
- **Fine Fragrances**: Manufacture fragrance compounds for fine fragrances, such as deodorants and perfumes. *Contribution from Fine Fragrance is less than 10%.*
- **Home Care Products**: SHK's products are used by customers in manufacturing several home care products, including air care, floor cleaners and toilet cleaners.
- **Fragrance and Flavour Blends**: SHK's products are used by customers to blend with other ingredients and raw materials in manufacturing their products, including other fragrances and flavours.

The flavours portfolio consists of products in the following categories:

- **Baked Goods**: Manufacture flavours such as cardamom, strawberry and chocolate, among others for several baked goods such as biscuits, cookies, crackers and cakes.
- **Dairy**: Manufacture flavours such as mango, vanilla and saffron, among others, for several dairy products such as ice cream, milkshakes, smoothies, yoghurt and flavoured milk.
- **Beverages**: Manufacture flavours such as ginger, rose, watermelon and mojito, among others for several beverages such as tea, juices, powdered drinks and sodas.

- **Pharmaceuticals**: Manufacture flavours such as cherry, grenadine and mint, among others, for several pharmaceutical products such as syrups, tablets, powders and suspensions to mask the bitter taste of pharmaceutical ingredients.

Exhibit 10: SHK fragrances & flavours business at a glance

	Fragrances Business	Flavours Business
Product Applications	• Used by FMCG companies in personal wash, fabric care, skin care and hair care products; production of fine Fragrances and F&F Blends • Fragrance Ingredients used in production of F&F	• Used in production by bakeries, pharmaceutical manufacturers, dairy industry and beverages manufacturers
Customer Mix	• National and Multi-national FMCG players • Fragrance and Flavour Blends • Direct consumers • Fragrances and Flavours companies	• National and Multi-national FMCG players • Fragrance and Flavour Blends • Regional and local manufacturers
Geographic Presence	• Manufacturing plants located at Raigad and Mumbai in Maharashtra • Manufacturing plants located at Vapi in Gujarat and Barneveld in Netherlands	• Manufacturing plant located at Raigad in Maharashtra
Sales Drivers	• Long standing relationships with several customers • Innovations and new product development by FMCG players • Strong presence in Branded Small Pack segment	• Increasing demand for ready-to-eat food products, fortified juices and milk products • High growth in FMCG industry to boost demand
Key Competitors	• MNCs: Givaudan, Firmenich, Symrise, IFF	• MNCs: IFF, Givuadan, Symrise, Firmenich

Source: Company, MNCL Research

SHK has established long-standing partnerships with prominent clients in the fragrance and fragrance ingredients industry, including Godrej Consumer Products Limited, Marico Limited, Wipro Consumer Care and Lighting Limited, Hindustan Unilever Limited, VINI Cosmetics Private Limited, and J.K. Helen Curtis Limited.

Additionally, its flavour products serve as key raw materials for manufacturers in various sectors, such as baked goods, dairy, beverages, and pharmaceuticals. SHK caters to a diverse customer base of over 400 clients for flavour products, including Britannia India, VICCO Laboratories, and Vadilal Industries Limited.

Exhibit 11: Diverse customer base including leading MNCs

Source: Company, MNCL Research

Strategically located manufacturing facilities empower SHK with global market insights and consumer preferences. SHK has eight manufacturing units (five are in India, while the remaining three are located overseas) and seven creation and development centers.

Exhibit 12: Manufacturing facilities spans across India and overseas

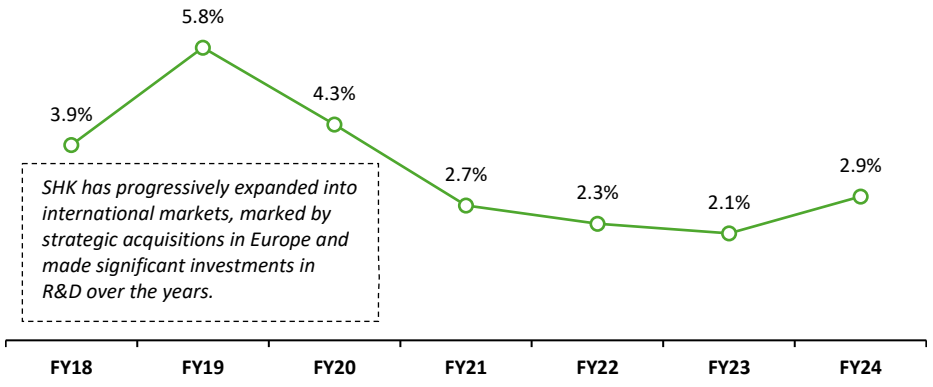
S.N.	Facility	Segment	Capacity (Tons)
1	Europe (Italy & Netherland)	Fragrance	-
2	Vapi, Gujrat	Fragrance	2,064
3	Mumbai, Maharashtra	Fragrance	4,599
4	Vashivali, Maharashtra	Fragrance	10,342
5	Vashivali, Maharashtra	Flavours	3,000
6	Mahad, Mumbai	Aroma Ingredients	1,200
7	China Facility	Aroma Ingredients	400
8	Jakarta, Indonesia	Fragrance	3,500

Source: Company, MNCL Research

SHK operates state-of-the-art fragrance manufacturing facilities in Mumbai and Raigad adhering to the stringent regulations of the International Fragrance Association (IFRA). Additionally, its flavour manufacturing plant in Raigad is registered with the USFDA. The company's products meet global safety and quality standards, being FSSAI, USFDA, and Halal certified, ensuring compliance with international regulatory requirements. Over the years, SHK has strengthened its capability while doing focused R&D and expansion initiatives.

Exhibit 13: Expenditure on R&D and Creative Development over the years (as a % of sales)

R&D expenditure as a % of sales is expected to pick up following the establishment of new creative development centres



Source: Company, MNCL Research

A key strength of SHK lies in its ability to deliver innovative and customized fragrance and flavor solutions, crafted by a team of expert perfumers at its Creative Development Centers (CDCs) worldwide. These CDCs, strategically located in India, the Netherlands, Indonesia, Singapore, Germany, Italy, and the UK, enable the company to conduct in-depth market and consumer research. By gaining valuable insights into regional preferences, SHK enhances its product offerings and strengthens its global presence. These centers are envisioned to serve as hubs of innovation, driving future growth, particularly in the expanding European and American markets.

Strategically positioned to leverage global presence for growth

(A) SHK operates through two primary business segments: Fragrance and Flavours. Historically, the **Fragrance segment** has been the dominant revenue contributor, accounting for over **85% of total sales**. However, the company is actively expanding its **Flavours segment**, which currently contributes around a little over **10%** but is expected to witness **double-digit growth over the next two years**.

SHK has identified strategic investment areas within the Flavours business to accelerate growth. Over FY24-FY26, the company plans to allocate additional capex toward:

- Capacity expansion for flavour ingredients and formulations.
- Product diversification to cater to high-demand segments.
- Enhancing R&D capabilities to develop innovative and sustainable flavour solutions.

Given these investments, the Flavours segment is expected to grow at a healthy CAGR of high-teen, outpacing the company's overall revenue growth.

Exhibit 14: Sales Mix by Segment

Particulars	FY20	FY21	FY22	FY23	FY24
Fragrances	90.3%	91.5%	86.2%	84.5%	85.0%
Flavours	9.7%	8.5%	9.0%	12.8%	12.2%
Global Ingredients	-	-	4.7%	2.7%	2.9%

Source: Company, MNCL Research

Turnaround in the Global Ingredients Business:

SHK's **global ingredient segment** has shown a strong turnaround, driven by several **structural initiatives**, including:

- **Backward integration:** This has allowed SHK to reduce raw material dependency and improve cost efficiencies.
- **Operational optimization:** The company has implemented advanced process automation and energy-efficient production techniques, improving gross margins.
- **Supply chain efficiencies:** SHK has strengthened procurement strategies, resulting in reduction in raw material costs over the past year.

Exhibit 15: YoY improvement in Global Ingredient Segment

Particulars (INR mn)	FY22	FY23	FY24	9MFY25
Revenue	740	458	548	522
EBIT	(90)	(193)	(78)	24
Margins	-12.2%	-42.1%	-14.2%	4.6%

Source: Company, MNCL Research

(B) Geographical Mix: SHK has established a strong domestic and international presence, catering to a diverse customer base across multiple geographies. The company's revenues are well-diversified across India, Europe, and other global markets, helping mitigate risks associated with economic downturns in any single region.

Exhibit 16: Sales Mix by Geography

Particulars	FY21	FY22	FY23	FY24	9MFY25
India	58.5%	53.7%	57.2%	56.9%	58.4%
RoW	21.2%	20.2%	18.8%	19.1%	18.3%
Europe	20.3%	26.1%	24.0%	24.0%	23.3%

Source: Company, MNCL Research

- **India – The largest revenue contributor:** India benefits from a rapidly growing FMCG sector, where fragrance and flavour ingredients are in high demand. Key drivers of growth in India include:
  - **Booming FMCG industry:** India's personal care, home care, and food & beverage sectors are witnessing double-digit growth, creating consistent demand for SHK's offerings.
  - **Growing consumer affordability:** Rising disposable incomes and increasing preference for premium and natural products have boosted demand for fine segment and flavours.
  - **Government Incentives & 'Make in India' Push:** SHK benefits from India's strong manufacturing ecosystem and government incentives for the specialty chemicals and ingredients industry.
- **Europe – A key export market:** Europe is a crucial region due to its high demand for premium fragrances and flavours, driven by industries such as luxury personal care, fine fragrances, and premium packaged foods. SHK operates in Europe primarily through its subsidiaries, which enhances its capabilities in the high-end fragrance and specialty flavour segment.
- **Rest of the World (RoW) – Emerging as a high-growth opportunity:** The RoW segment, which includes Southeast Asia, the Middle East, Africa, and North America, contributes ~20-25% of SHK's total revenues. The company has steadily increased its footprint in emerging and developed markets, capitalizing on rising demand for fragrances and flavours in these regions.
  - **Southeast Asia (Indonesia, Thailand, Vietnam):** Fast-growing FMCG industries in these nations drive high demand for home care and personal care fragrances. SHK benefits from its regional manufacturing presence and strong relationships with leading FMCG brands.
  - **Middle East & Africa:** Demand for fine fragrances is growing rapidly, fuelled by cultural preferences and increasing disposable incomes. SHK has expanded its partnerships with Middle Eastern luxury fragrance brands to strengthen its presence.
  - **North America:** SHK has entered the North American market by leveraging its European subsidiary's existing relationships with global brands.

(C) Growth in overseas markets would be driven by the favourable global export environment. The export market outlook for India's fragrance and flavour industry remains positive, with several tailwinds:

- **Rising global demand for natural and sustainable ingredients**: India, with its diverse agricultural base, is well-positioned to meet this demand.
- **China+1 Strategy:** Many multinational FMCG and personal care companies are diversifying sourcing away from China, benefiting Indian exporters like SHK.
- **Favourable trade agreements:** The Government of India provides various incentives for the chemical and specialty ingredient industry for scaling up exports.

(D) SHK's strategic acquisitions drive expansion and enhance its capabilities for sustained growth. SHK has strategically expanded its global footprint and product offerings through a series of acquisitions over the past decade. These acquisitions have been instrumental in enhancing SHK's market presence, diversifying its product portfolio, and strengthening its research and development capabilities. The table below underscores various acquisitions done in the past:

Exhibit 17: Past acquisitions of the company

Acquiree Company	Segment Focus	Year	Consideration	Stake	Acquisition Rationale
PFW Aroma Chemicals B.V.	Aroma Ingredients	2010	NA	100%	Enhanced SHK's capabilities in aroma ingredients, contributing to the company's vertical integration and product diversification strategies
Hi-Tech Technologies	Flavours	2016	US$ 3.7mn	-	Enhancing market share in the flavours segment
Rasiklal Hemani Agencies Pvt Ltd.	Fragrances	2016	US$ 4.5mn	100%	Enhance SHK's marketing and distribution capabilities in northern India by leveraging RHAPL's established infrastructure and customer base
Gujarat Flavours Pvt. Ltd.	Flavours	2016	US$ 2.1mn	-	Expansion of flavours business through acquisition of established brand
Tanishka Products	Fragrances	2017	US$ 0.4mn + revenue share	-	Access to advanced fragrance encapsulation technology
VN Creative Chemicals Pvt. Ltd.	Aromatic Chemicals	2017	-	100%	Gained control over strategically located manufacturing infrastructure, which was integral to its production plans
Anhui Ruibang Aroma Chemical Co.	Aroma Ingredients	2018	US$ 3.4mn	90%	Securing Tonalid manufacturing capabilities to mitigate supply chain disruption
Creative Flavours & Fragrances	Flavours & Fragrances	2018	EUR 28mn	100%	To enhance its global footprint and strengthen its product offerings, particularly in the fine fragrances and fabric care segments.
Nova Fragranze S.r.l.	Fragrances	2021	EUR 3.7mn	100%	Expansion in European markets and diversification into high-margin segments
Holland Aromatics	Fragrances	2021	EUR 21mn	100%	Expansion in European markets and broadened product portfolio and client base
NuTaste Food and Drink Labs Pvt. Ltd.*	Flavours	2021	INR 13.25cr	100%	To accelerate the growth of its flavour business, diversify its product offerings, and strengthen its position in the FMCG and QSR markets

Source: Company, MNCL Research

Note: Company has diluted stake in NuTaste Food and Drink Labs, current ownership in the entity is 40% as per Q3FY25.

Through these strategic acquisitions and restructuring efforts, SHK has reinforced its position as a global leader in the fragrance and flavour industry, poised for sustained growth and innovation. The key benefits of these acquisitions are outlined below:

- **Enhanced market presence:** These acquisitions have significantly bolstered SHK's presence in key international markets, particularly in Europe, allowing the company to tap into new customer segments and increase its global market share.
- **Product portfolio diversification:** By integrating the product lines of acquired companies, SHK has enriched its fragrance and flavour offerings, catering to a broader range of consumer preferences and industry requirements.
- **Strengthened R&D capabilities:** The acquisitions have brought in advanced R&D facilities and expertise, enabling SHK to innovate and develop new products more effectively.
- **Operational synergies:** The consolidation of subsidiaries and streamlining of operations have led to improved efficiency, cost savings, and better resource allocation within the company.

SHK's Evolution: Thriving through challenges and changes

Exhibit 18: Evolution of the company

Year	Particulars
1922	Mr. Dadasaheb Kelkar **established home grown business in Mumbai**, which sold attars, synthetic perfumes and cosmetics
1955	**Incorporated as S.H. Kelkar & Co. Limited**
1960-1970	**Growing Presence:** - Establishment of R&D Centre at Mulund - Establishment of manufacturing facilities at Mulund
1971-1980	- In 1978, Aroma Ingredients division was formed - In 1979, 2nd manufacturing unit at Vapi, Gujarat was established - In 1980, **Keva Favours** was incorporated
1981-1990	**Expansion period**: - Establishment of the export-oriented Keva Fragrances Pvt. Ltd. - Expansion of fragrance manufacturing facility at Mulund, Mumbai - Expansion of research centre at Mulund
1991-2000	- Expansion of fragrance manufacturing facility at Mulund for Export Oriented Unit (EOU) - Expansion of Fragrances Centre. The company set up first automated robotic manufacturing unit on a greenfield site
2001-2014	- **Capex in setting up new plants and R&D centres.** Set up a manufacturing facility in Vashivali, Maharashtra, establishment of additional R&D Centre at Mulund, investment in Vapi plant - **Consolidation of promoter's shareholding.** *Family settlement happened in 2010, and current family got the business* - **Raised INR 2.4bn from Blackstone in 2012 for 34.5% Stake** - **Inorganic expansion:** Acquired PFW and SAIBA Industries - **Global expansion**: Incorporation of PT SHK Keva Indonesia – full-fledged operations including corporate, sales and Creative Development Centres (CDC)
2015	**Listing of SHK shares on BSE & NSE**
2015-2020	- Continued R&D and **commercialized its patented molecules** - **Global expansions**: Established multiple offices around the globe including Fine Fragrance Development Centre in Amsterdam - **Inorganic expansion**: Series of acquisitions made between this period **Important developments in this period:** - Share buyback worth INR 600mn - *SHK experienced notable impacts on its performance following the government's demonetization initiative in November 2016 and the implementation of the Goods and Services Tax (GST) in July 2017* (***Refer to the main section for detailed explanation***)
2021-2025	- **Inorganic expansion and consolidation** to deepen its global presence across the F&F segment - SHK **initiated a second buyback round in 2021** - **Fire Incident at Vashivali Facility**: In April 2024, fire incident occurred at SHK's Vashivali facility, impacting its fragrance manufacturing operations. *The company promptly shifted production to its Mulund site to mitigate disruptions, ensuring continued service to clients*. - SHK continued its strategic initiatives to expand its market presence and drive innovation across geographies, including US and Europe - SHK won a significant order from a leading MNC which has potential of over US$ 100mn in the long run (***Refer to the main section for detailed explanation***)

Source: Company, MNCL Research

Impact of Demonetization (November 2016):

The sudden demonetization of high-denomination currency notes in November 2016 led to a liquidity crunch across various sectors. SHK faced challenges during this period as the reduced cash availability affected consumer demand and disrupted supply chains. This period saw a slowdown in the company's growth trajectory. This decline was attributed to the dual effects of demonetization and the anticipation of GST implementation, which led to a degrowth in the businesses of several smaller clients, which comprises over 15% of the company's sales.

Impact of GST Implementation (July 2017):

The introduction of GST aimed to streamline India's indirect tax structure but initially caused operational disruptions for many businesses, including SHK. The transition to the new tax regime required adjustments in accounting systems and compliance mechanisms. In the immediate aftermath, SHK reported challenges as smaller clients struggled to adapt to the new system, further affecting the company's performance. However, by early 2018, SHK indicated that business operations were returning to normalcy after the initial disruptions caused by demonetization and GST.

Recovery and strategic shift:

In response to these challenges, SHK undertook strategic measures to mitigate risks and capitalize on emerging opportunities:

- **Client Portfolio Optimization**: Recognizing the vulnerability associated with smaller clients, SHK diversified its focus towards larger and medium-sized FMCG companies, both domestically and internationally. This strategic pivot reduced the revenue contribution from smaller clients from approximately 20% to 10% by FY20. The company reported that its larger customers continued to exhibit a robust growth rate, with a CAGR of over 12%, and anticipated this trend to persist.
- **Expansion into New Markets**: SHK explored growth avenues in emerging markets and leveraged its overseas acquisition to penetrate new geographical territories. This expansion strategy aimed to diversify revenue streams and reduce dependence on any single market.
- **Engagement with Start-up FMCG Ventures**: The company anticipated a surge in modern-age start-up FMCG products over the next few years, which could bolster growth in regional markets. SHK positioned itself to collaborate with these new entrants, aligning its offerings to meet evolving consumer preferences.

Big wins from leading MNC- A catalyst for global expansion and long-term growth:

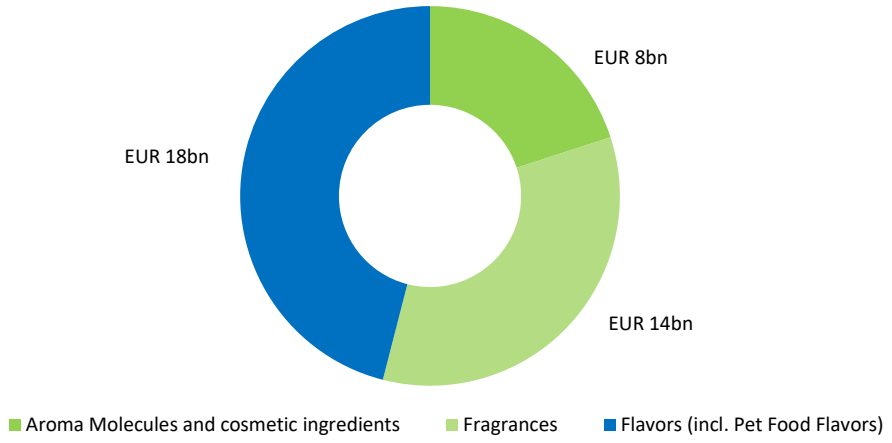
In 2021, SHK achieved a significant milestone by securing a major order from a leading global MNC in the domestic FMCG market, specifically in the home care segment. This contract is expected to generate revenues of US$ 10mn in FY25, with the potential to scale up to US$ 50mn in the next 2-3 years and US$ 100mn in the long term, accounting for nearly 10% of the customer's total spending in this category. To capitalize on this opportunity and strengthen its global presence, SHK is expanding its network of Creative Development Centers, establishing new centers in the US, Germany, and the UK, complementing its existing hubs in the Netherlands and Italy. Additionally, the company has set up a new manufacturing facility in Indonesia, further accelerating its international growth strategy. Its partnership with the leading MNC is expected to open doors to further collaboration with other multinational corporations, reinforcing SHK's position in the global fragrance and flavor industry. With surplus capacity already in place and an emphasis on operational efficiency, the company is well-positioned to improve EBITDA margins and drive sustainable long-term growth.

F&F Industry Overview

In 2023, the global Fragrances and Flavours (F&F) market reached EUR 32bn, reflecting a 3.7% growth compared to the previous year. However, this growth was significantly lower than the 7.6% expansion in 2022, which had been fuelled by post-pandemic recovery and strong inflationary effects. Within the sector, fragrances (+4.9%) outperformed flavours (+2.7%), indicating stronger demand for scent-based products. When factoring in aroma chemicals and cosmetic ingredients, together forming the AFF market, the total market size for 2023 is estimated at EUR 40bn. Looking ahead, the industry is expected to grow at a steady 3-4% annually over the long term.

The F&F market is marked by significant entry barriers, making it a challenging industry for new players to enter. The market is increasingly shaped by rising consumer expectations for premium, unique, and innovative products, with shorter product life cycles becoming the norm. Customization is a key aspect of the industry, as a large share of F&F products and formulations are tailored to individual customer needs. Furthermore, regional preferences play a critical role, often requiring multiple variations of a single product to cater to different markets. This localization strategy, combined with close collaboration between F&F companies and their clients, is essential to product development and market success.

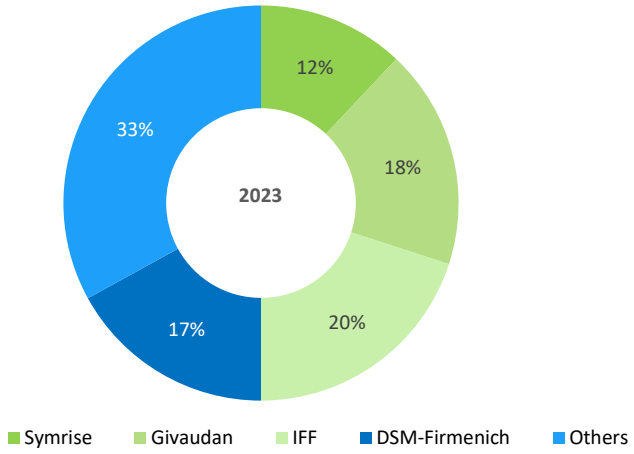
Exhibit 19: Aromatic, Flavours and Fragrances (AFF) market size (2023)



Source: Industry, MNCL Research

The AFF (Aromatic, Flavours and Fragrances) market is globally dominated by 4 companies: Givaudan, IFF (International Flavors and Fragrances), DSM-Firmenich, and Symrise. In 2023, these companies held ~70% of the market share.

Exhibit 20: AFF market share (2023)



Source: Industry, MNCL Research

Key Trends Shaping the F&F Industry

- **Demand for natural and sustainable ingredients**: Consumers are increasingly gravitating toward natural, organic, and sustainably sourced fragrances and flavours. According to the International Organization of the Flavour Industry (IOFI), over 60% of consumers prefer products with clean labels and natural ingredients. This shift has driven a surge in the use of plant-based extracts, essential oils, and biodegradable compounds. *To align with this trend, companies are investing in green chemistry and circular economy practices, focusing on reducing environmental impact and enhancing sustainability across the supply chain*.
- **Personalization and niche products**: Customization is becoming a key differentiator in the F&F industry. The US Food and Drug Administration (USFDA) reports that personalized fragrances and flavours are rapidly gaining popularity, particularly in the luxury segment. *High-end brands are increasingly offering bespoke perfumes and tailor-made food flavours to cater to individual preferences, elevating consumer experiences and fostering brand loyalty.*
- **Health and Wellness focus**: The growing focus on health and wellness is reshaping the flavour segment, with a surge in demand for low-sugar, low-sodium, and functional flavours, as highlighted by the European Food Safety Authority (EFSA). *Similarly, fragrances infused with aromatherapy benefits, such as lavender for relaxation and eucalyptus for respiratory relief, are witnessing increased consumer interest*. This trend reflects a broader shift toward products that offer both sensory appeal and functional health benefits.
- **Technological innovations**: The F&F industry is undergoing a technological revolution, driven by biotechnology and artificial intelligence (AI). AI-powered tools are now being used to analyse consumer preferences and generate novel scent and flavour combinations, enhancing product development efficiency. Additionally, biotechnology is enabling the creation of lab-grown flavours and fragrances, reducing dependence on traditional agricultural sources and promoting sustainable production methods.
- **Emerging markets driving growth**: The World Bank notes that rising disposable incomes and urbanization in emerging economies such as China, India, and Brazil are significantly boosting demand for premium F&F products. These regions are not only key consumer markets but are also evolving into major hubs for raw material sourcing and manufacturing, further strengthening their role in the global F&F supply chain.

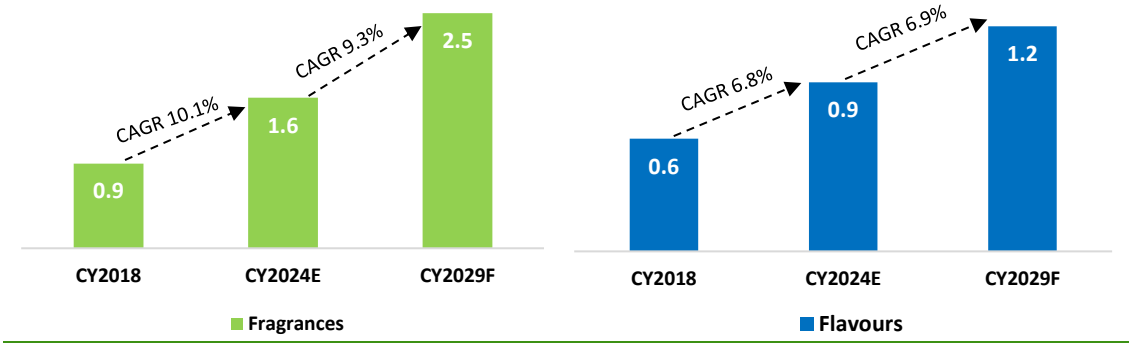
Challenges Facing the Industry:

- The Fragrance and Flavour industry faces significant challenges, including ***supply chain disruptions*** highlighted during COVID-19, which caused delays in sourcing essential oils and flavour extracts from key regions like India and Brazil. Lockdowns and transportation restrictions forced companies to diversify suppliers and increase inventory buffers to mitigate risks.
- **Price volatility of raw materials**, such as vanilla and citrus oils, driven by climate change and poor harvests, impacts profitability. For instance, vanilla prices fluctuate due to Madagascar's supply issues, while citrus oils face challenges from diseases like citrus greening. Companies struggle to pass these cost increases to customers due to long-term contracts.
- **Regulatory hurdles from bodies like the FDA and EFSA** add complexity, requiring costly compliance such as GRAS certification and safety assessments. Evolving regulations around synthetic ingredients and sustainability further delay product launches and increase development costs, pushing companies to innovate while adhering to strict standards.

Indian Flavors and Fragrances Market:

According to F&S report, the Indian Flavors and Fragrances (F&F) market, valued at US$ 1.5bn in CY2018, has grown at a CAGR of 8.8% to reach an estimated market size of US$ 2.5bn in CY2024. By CY2029, the market is expected to expand further to US$ 3.7bn, maintaining a robust CAGR of 8.5%, in line with historical growth rates. This growth is expected to be driven by rising demand from the food and beverage, and personal care industries, fueled by increasing disposable incomes, urbanization, and a shift toward premium and natural products. India also plays a pivotal role in the global supply of essential oils, such as mint and sandalwood, significantly contributing to the export market.

Exhibit 21: Indian F&F market size (US$ bn)



Source: Industry, MNCL Research

The Indian fragrances market, estimated at US$ 1.6bn in CY2024, has grown at a CAGR of 10.1% from CY2018 to CY2024. It is projected to reach US$ 2.5bn by CY2029, with a CAGR of 9.3%, driven by rising consumption of personal and home care products. Meanwhile, the Indian flavours market, valued at US$ 900mn in CY2024, is expected to grow to US$ 1.2bn by CY2029, at a CAGR of 6.9%. This growth would be supported by the expanding food processing industry, increasing demand for packaged and ready-to-eat foods, and the rising use of flavours in bakery, confectionery, beverages, and dairy products.

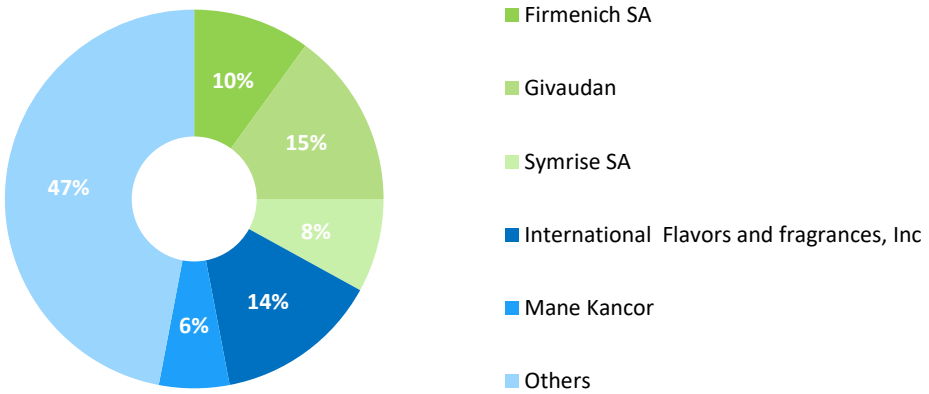
The Indian F&F industry is segmented into three categories based on market structure:

Exhibit 22: Domestic Market Structure - Three categories of companies

Segment	Market Structure	Description
Global MNC F&F Houses	Largest sector (60%+ share)	Established multinational companies serving FMCG multinationals and Indian corporates. **Key players include Givaudan, IFF, Symrise, and Firmenich.**
Corporate Indian F&F Houses	Well-established firms	Fewer players with decades of experience, catering primarily to traditional sectors and Indian corporates. Key players include S H Kelkar, Oriental Aromatics, Privi Speciality Chemicals.
Small Firms (MSMEs)	Unorganized market	Mostly serving the unorganized sector with a smaller presence.

Source: Industry, MNCL Research

Exhibit 23: Market Share of key players in India, 2024E



Source: Industry, MNCL Research

Note: Others include SH Kelkar; FAB Flavours & Fragrances Pvt. Ltd.; Oriental Aromatics; Mane SA; Kalpsutra Chemicals Pvt. Ltd.; Flavorade India; Symega Ingredients; Matrix Flavours & Fragrances; among others. Market share data is based on industry reports, company disclosures, and analyst estimates. The exact figures may vary slightly depending on the source.

The industry is dominated by multinational players like Givaudan, Firmenich, IFF, and Symrise, which collectively hold a significant market share. However, domestic companies like SH Kelkar are gaining traction by leveraging local expertise, cost advantages, and strong R&D capabilities. Regulatory support

from bodies like the Food Safety and Standards Authority of India (FSSAI) and increasing investments in innovation are further propelling growth.

Factors driving the growth of the Indian F&F segment:

- **Rising disposable incomes**: India has experienced a substantial rise in disposable incomes over the past decade, driven by robust economic growth, urbanization, and a growing middle class. *According to the National Statistical Office, per capita net national income increased from INR 86,647 in FY15 to INR 1,72,000 in FY23, reflecting a CAGR of ~8%.* Projections suggest that average household disposable income will grow at a CAGR of 7.3% from 2021 to 2030. This upward trend is fuelling demand for premium products across various sectors, including food and beverages, personal care, and home care. Consumers are increasingly gravitating toward high-quality, indulgent experiences, significantly benefiting the Fragrances and Flavours industry, which thrives on evolving consumer preferences and premiumization trends. As disposable incomes continue to rise, the industry is poised for substantial growth, driven by a demand for sophisticated and sensory-rich products.

- **Expanding FMCG Sector:** The FMCG sector is a pivotal force behind the growth of the Fragrances and Flavors industry, as it encompasses a vast range of products—including personal care, home care, fine fragrances, food products, and dental care—that rely heavily on these sensory elements. While fragrances and flavours constitute only a small fraction of the total product cost, they significantly enhance consumer perception, influencing aroma, taste, and overall quality.

  India's FMCG sector is poised for significant expansion, driven by urbanization and rising disposable incomes. According to Frost & Sullivan, India's food processing industry ranks among the largest globally and is projected to reach US$ 535bn, growing at a CAGR of 15.2%. Additionally, the FMCG sector is expected to attract capital investments of ~US$ 91bn by FY27, reinforcing its role as a growth catalyst for the F&F industry.

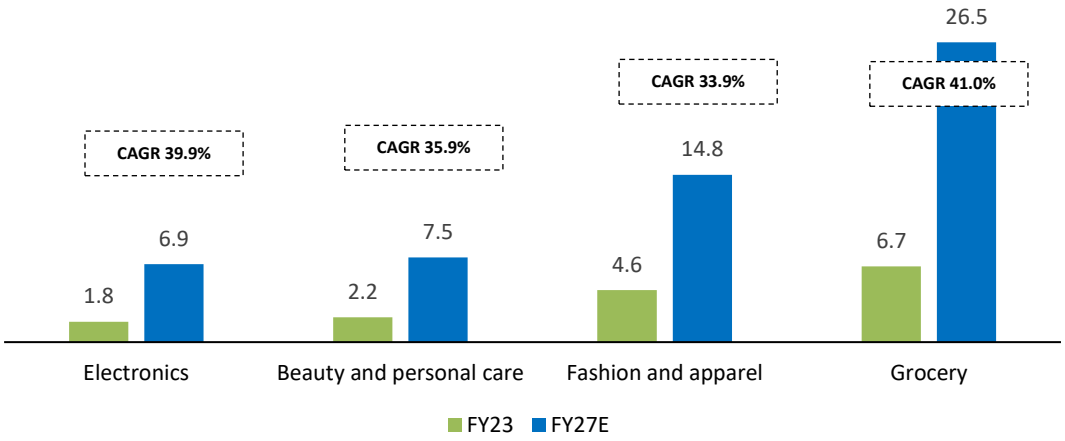
Exhibit 24: Capex in Indian Food & Beverage processing sector (INR bn)

Source: Industry, MNCL Research

- **Urbanization and Lifestyle changes**: India is experiencing rapid urbanization, with a significant population shift from rural to urban areas. As of 2023, ~36% of India's population resides in urban centres, according to the World Bank, with an annual urban growth rate of 2.3%—notably higher than the global average of 1.7%. Major metropolitan hubs like Delhi, Mumbai, Bangalore, and Hyderabad are among the world's fastest-growing cities, drawing millions in search of better economic prospects. This urban expansion is reshaping India's economic landscape, with urban areas projected to contribute 70% of the country's GDP by 2030, up from 63% in 2021, as per McKinsey. This trend is driving increased demand for infrastructure, housing, consumer goods, and services, positioning urbanization as a key engine of India's future growth.

- **Growth of D2C brands in India**: India's D2C market is experiencing exponential growth, set to expand from US$ 17bn in FY23 to US$ 61.3bn by FY27 at a 38% CAGR. Leading brands like Mama earth, Sugar Cosmetics, and Licious are leveraging D2C to bypass traditional retail, enhance consumer engagement, and drive innovation. This surge is fueled by 700mn+ internet users, evolving preferences for customization and sustainability, and a booming e-commerce sector, which is projected to hit US$ 350bn by 2030 from US$ 123bn in 2024.

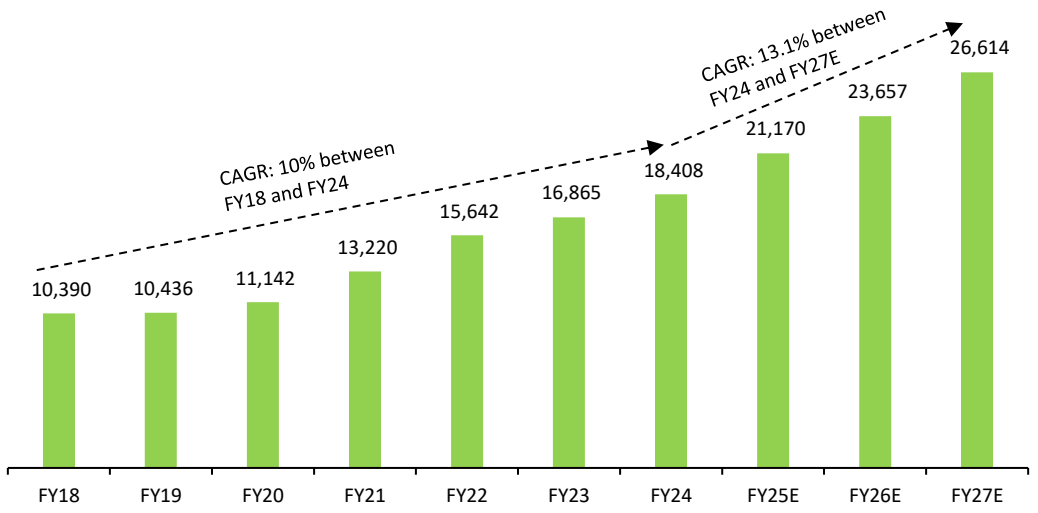
Exhibit 25: D2C brands' growth over the years (INR bn)



Source: Industry, MNCL Research

Financial Analysis

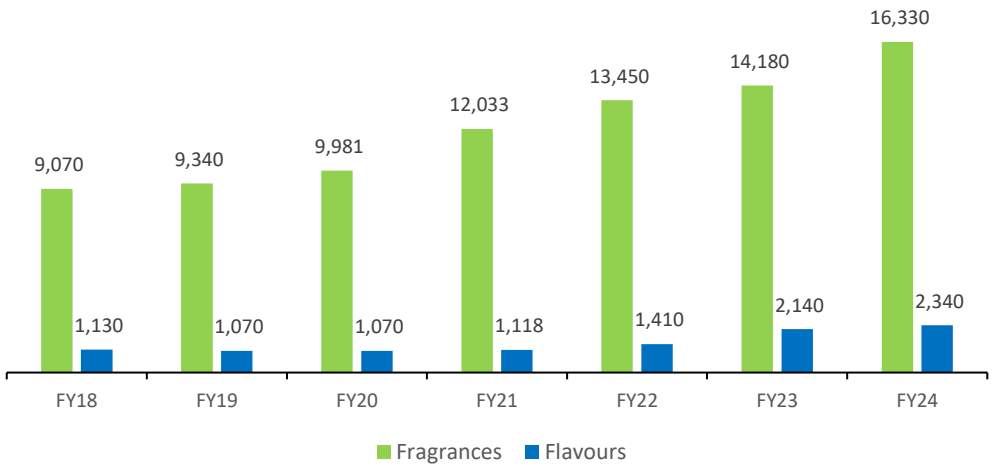
Exhibit 26: Revenue from Operations (INR mn)



Source: Company, MNCL Research Estimates

We expect SHK to grow at a 13% CAGR over FY24-27E, driven by higher volumes, improved operating leverage, and increased contributions from smaller customers and large MNCs. This marks an acceleration from its 10% CAGR over FY18-24. SHK's diversified revenue base across India, Europe, and other global markets mitigates regional economic risks. With a positive export outlook for India's Fragrance and Flavour industry, SHK is poised for further growth. While fragrances dominate revenue (illustrated in the chart below), SHK is investing strategically in Flavours, allocating capex over FY25-27 to enhance R&D for innovative, sustainable solutions.

Exhibit 27: Segment Revenue Breakup (INR mn)

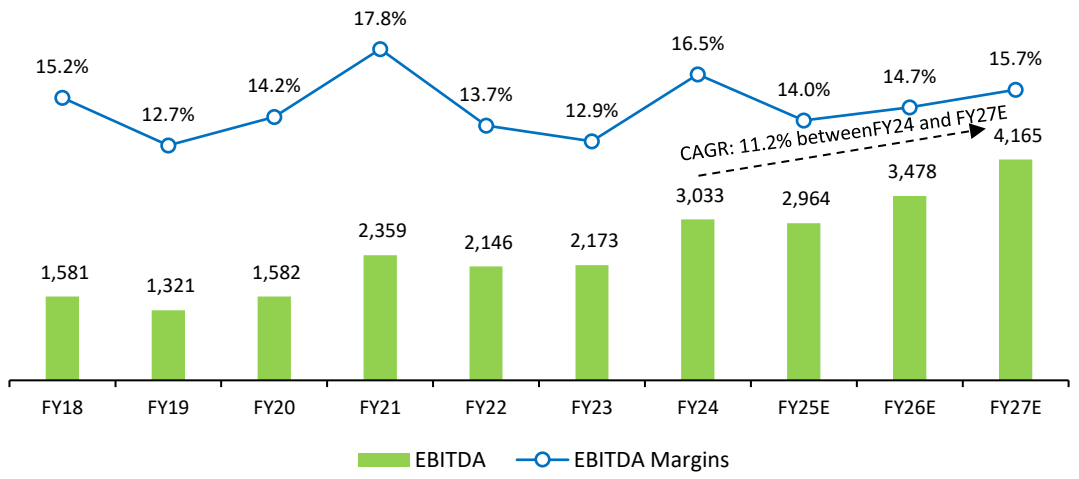


Source: Company, MNCL Research Estimates

Fragrances segment continues to be the bread and butter, acquisition of CFF and Holland Aromatics was a move towards solidifying presence in Europe and entry in to more premium areas in fragrance, which also reflected in the margins

SHK's revenue is predominantly driven by the fragrance segment, which contributes over 85% of total sales. While fragrance is expected to grow at a low to mid double-digit CAGR, the flavours segment is set for accelerated expansion. This growth will be fueled by the company's strategic capex investments in R&D and product diversification, enhancing its market presence and innovation in the flavours industry.

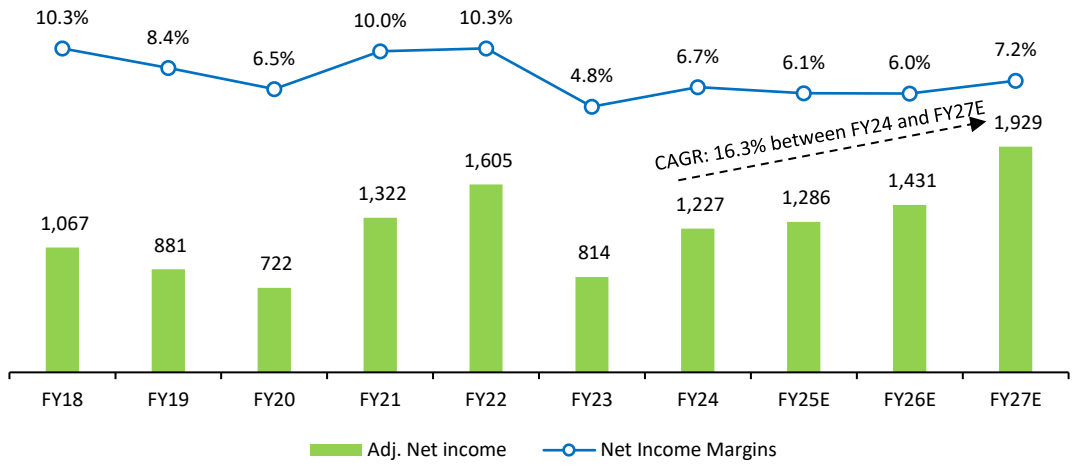
Exhibit 28: EBITDA growth and EBITDA margin (INR mn)



Source: Company, MNCL Research Estimates

We project EBITDA to grow at a 11.2% CAGR over FY24-27E, supported by margin expansion from growth in higher-margin regions like Europe and improved operating leverage. SHK's asset-light business model ensures strong cash flow, further strengthening profitability. In its Global Ingredients segment, the company has successfully eliminated reliance on China for key raw materials, mitigating past margin pressures and driving recovery in this segment. *The margins have been volatile due to fluctuation in raw material prices and expansion initiatives taken in the past.*

Exhibit 29: Net Income and Net Income Margin (INR mn)

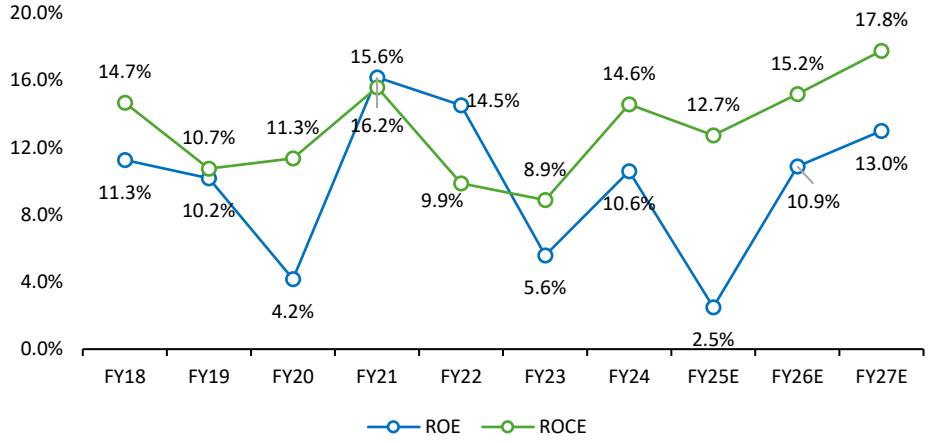


Source: Company, MNCL Research Estimates | Adjusted for exception items and Other Income

We expect net income to grow at a 16% CAGR over FY24-27E, driven by operating leverage and debt reduction. *Note that the profitability in FY25 was impacted by a fire accident at the Vashivali facility in April 2024, resulting in an INR 1.2bn loss. The company anticipates recovering this loss through insurance claims, mitigating the financial impact.*

The MNC contract win added with the recovery post the fire incident at the Vashivali site will aid recovery in profitability and hence better return profile going forward.

Exhibit 30: Return Ratios



Source: Company, MNCL Research Estimates

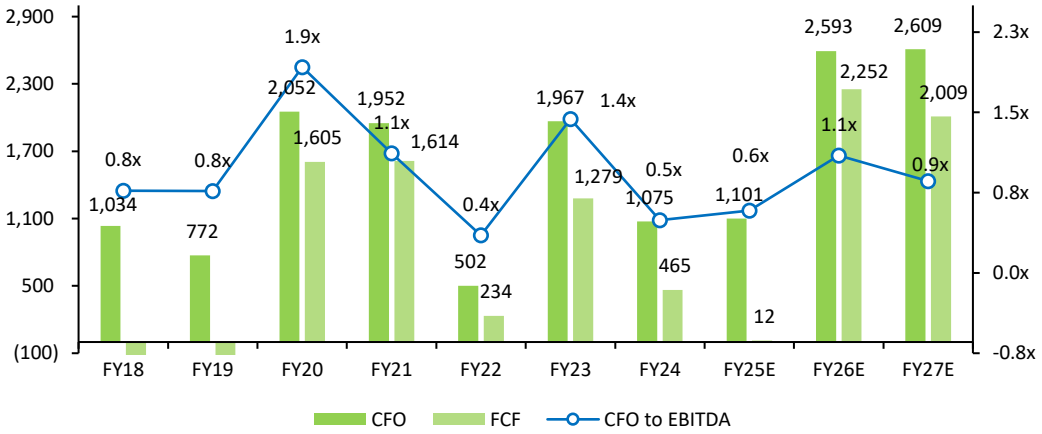
Our forecast indicates return on average equity (ROAE) and return on average capital employed (ROCE) to reach 13% and 17.8%, respectively by FY27E through a combination of operating leverage, margin expansion, and strategic capital allocation.

Exhibit 31: DuPont Analysis

Particulars	FY18	FY19	FY20	FY21	FY22	FY23	FY24E	FY25E	FY26E	FY27E
Profit-to-sales	9.0%	8.4%	3.2%	10.9%	9.5%	3.6%	6.7%	1.5%	6.0%	7.2%
Sales-to-assets	88.2%	76.6%	75.9%	78.0%	74.6%	74.6%	79.6%	84.2%	88.2%	93.9%
Assets-to-equity	141.2%	157.4%	171.8%	189.4%	204.8%	205.8%	199.6%	204.4%	203.8%	190.8%
ROAE	**11.3%**	**10.2%**	**4.2%**	**16.2%**	**14.5%**	**5.6%**	**10.6%**	**2.5%**	**10.9%**	**13.0%**

Source: Company, MNCL Research Estimates

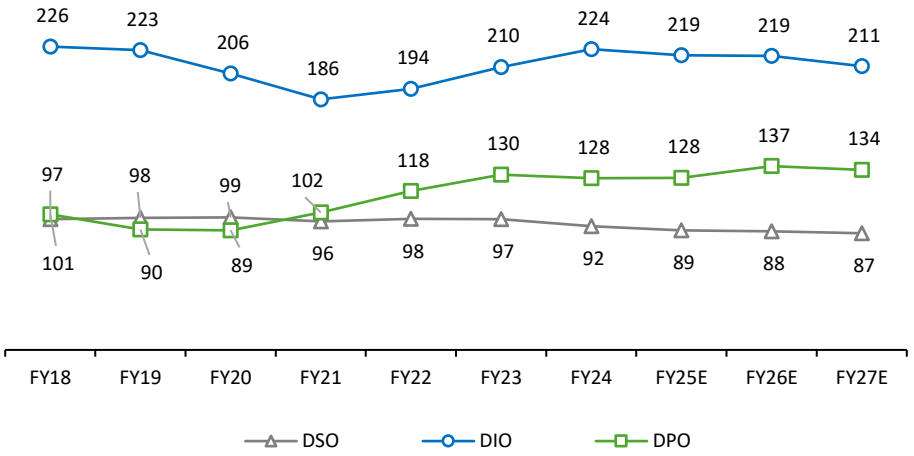
Exhibit 32: Cash Flow (INR mn)



Source: Company, MNCL Research Estimates

SHK is poised to gradually improve its cash flow position over time. The company plans to execute its capex initiatives, which will be financed primarily through internal accruals.

Exhibit 33: Working Capital Cycle



Source: Company, MNCL Research Estimates

SHK currently operates with a relatively high working capital cycle, particularly in terms of its inventory days, which is largely driven by the nature of its business, where maintaining a broad product portfolio and ensuring consistent supply to meet customer demands across various geographies is crucial. However, SHK's management is actively working to optimize its working capital cycle. *While the high inventory days currently pose a challenge, SHK's ongoing efforts to streamline operations and manage its working capital effectively could lead to significant improvements in the near future.*

Valuation and view

TP at INR 250 representing an upside potential of c.41%

SHK has consistently demonstrated resilience by turning challenges into growth opportunities. Over the past five years, the company has achieved a remarkable CAGR of 12%, from FY19 to FY24 despite challenges like pandemic, GST implementation, demonetization, opeartional challenges due to fire incident, underscoring its strong financial performance. SHK continues to thrive by strategically diversifying its product portfolio, expanding its geographical presence, and broadening its client base.

With an increasingly solid presence in high-growth international markets, combined with enhanced technical capabilities, SHK is well-positioned to capitalize on emerging opportunities, ensuring sustained scalability and revenue visibility in the long term. SHK's commitment to innovation is evidenced by the impressive achievements of its research team, which has developed 10 new molecules and filed 20 patent applications over the past four years. Notably, six of these patents have been commercially utilized in the deodorant and fine fragrance sectors. The company's strong R&D capabilities are a key driver of its ongoing success. With seven creation and development centers across the Netherlands, Italy, Mumbai, Indonesia, and Singapore, SHK has assembled **a team of over 20 perfumers, 5+ flavorists, 33+ evaluators, and application executives**. Additionally, its dedicated research team of 29+ scientists ensures continuous innovation in response to the evolving needs of the FMCG industry.

Exhibit 34: Players Operating in AFF Sector

Particulars	Market Cap.	Revenue		Revenue CAGR		EBITDA Margin			PAT Margins		
		FY24	9MFY25	FY22-24	FY24-27E	2024	2025E	2026E	2024	2025E	2026E
S H Kelkar & Company	24,611	18,408	15,560	8.48%	13.1%	16.5%	14.0%	14.7%	6.7%	1.5%	6.0%
Indian Peers (INR mn)											
Oriental Aromatics	10,310	8,318	6,751	-2.0%	NA	5.6%	NA	NA	1.1%	NA	NA
Privy Specialty Chemicals	59,157	17,517	14,876	11.8%	NA	18.8%	NA	NA	5.4%	NA	NA
Camlin Fine sciences	31,137	15,950	12,523	6.6%	13.4%	4.6%	9.8%	13.3%	-5.8%	1.1%	4.7%
Mangalam organics	3,614	4,935	3,802	0.3%	NA	7.8%	NA	NA	0.9%	NA	NA
Kanchi Karpooram	1,749	1,456	1,178	-23.8%	NA	0.9%	NA	NA	0.4%	NA	NA
Vinati organics	164,901	18,899	15,997	8.3%	19.5%	24.9%	25.5%	26.0%	17.1%	17.8%	17.9%
Galaxy surfactants	75,811	37,647	30,787	1.5%	9.1%	12.3%	11.8%	12.2%	8.0%	7.5%	8.0%
Jubilant Ingrevia	106,933	41,358	30,855	-8.6%	10.0%	10.2%	11.6%	12.9%	4.4%	5.5%	6.1%
International Peers (US$ mn)											
Givaudan	42,557	7,700	8,419	2.6%	5.7%	21.2%	23.5%	24.6%	12.9%	14.7%	15.3%
IFF	21,102	11,479	11,484	-0.8%	-2.0%	-7.2%	16.6%	19.4%	-22.4%	2.1%	8.4%
Firmenich	27,800	11,493	13,846	15.6%	9.1%	7.6%	13.7%	18.0%	20.1%	2.0%	6.9%
Symrise	14,771	4,865	5,116	10.0%	4.2%	16.9%	17.8%	20.5%	6.1%	7.2%	9.2%

Source: Company, MNCL Research
Note: for international peers, 9MFY25 figures correspond to full year CY24 revenues

Exhibit 35: Peers Valuation

Particulars	Market Cap.	ROAE		ROCE		EV/EBITDA (x)			P/E (x)		
		FY24	FY25E	FY24	FY25E	2025E	2026E	2027E	2025E	2026E	2027E
S H Kelkar & Company	**24,611**	**10.6%**	**2.5%**	**14.6%**	**12.7%**	10.5x	8.9x	7.4x	80.02x	17.2x	12.8x
Indian Peers (INR mn)						**22.8x**	**17.4x**	**14.4x**	**68.8x**	**30.7x**	**23.8x**
Oriental Aromatics	10,310	1.4%	NA	3.4%	NA	NA	NA	NA	NA	NA	NA
Privy Specialty Chemicals	59,157	10.8%	NA	10.1%	NA	NA	NA	NA	NA	NA	NA
Camlin Fine sciences	31,137	-11.0%	3.6%	NA	NA	24.4x	14.9x	11.6x	163.7x	31.6x	19.0x
Mangalam organics	NA	1.6%	NA	NA	NA	NA	NA	NA	NA	NA	NA
Kanchi Karpooram	1,749	0.3%	NA	-0.1%	NA	NA	NA	NA	NA	NA	NA
Vinati organics	164,901	13.8%	15.2%	13.2%	NA	27.9x	22.2x	18.5x	40.6x	32.9x	27.6x
Galaxy surfactants	75,811	14.8%	13.4%	15.2%	NA	15.7x	14.0x	12.5x	25.6x	21.9x	19.6x
Jubilant Ingrevia	106,933	6.8%	8.2%	7.0%	NA	23.1x	18.5x	14.8x	45.4x	36.4x	28.8x
International Peers (US$ mn)						**14.7x**	**14.0x**	**13.2x**	**22.9x**	**21.4x**	**19.5x**
Givaudan	42,557	21.7%	25.4%	25.5%	32.1%	20.6x	19.7x	18.7x	29.0x	27.3x	25.5x
IFF	21,102	-15.9%	1.7%	NA	10.8%	13.6x	13.1x	12.4x	18.6x	17.5x	15.9x
Firmenich	27,800	12.7%	1.1%	NA	NA	11.1x	10.8x	10.1x	21.0x	19.9x	17.9x
Symrise	14,771	8.3%	9.5%	11.8%	12.8%	13.4x	12.5x	11.5x	23.2x	20.8x	18.8x

Source: Company, MNCL Research

Based on the company's robust performance, promising growth prospects, and favorable industry tailwinds, **we have applied a multiple of 18x to the estimated EPS for FY27E**, resulting in a TP of INR 250, reflecting an upside potential of 41%.

Additionally, we have conducted a sensitivity analysis to further illustrate the favorable risk-reward scenario, emphasizing the potential for continued value creation and attractive investment opportunities.

Exhibit 36: Sensitivity Analysis

FY27E (INR mn)	Base Case	Bear Case	Bull Case
Revenue	26,614	23,839	28,733
CAGR (FY24-FY27E)	13.1%	9.0%	16.0%
EBITDA	4,165	3,218	5,028
EBITDA Margin	15.7%	13.5%	17.5%
Net Income	1,929	1,430	2,586
Net Income Margin	7.2%	6.0%	9.0%
EPS	13.94	10.33	18.68
P/E Multiple	18.0x	14.0x	20.0x
Target Price	**250**	**145**	**375**
CMP	178		
% Change	*41%*	*-19%*	*110%*

Source: Company, MNCL Research Estimates

DCF Analysis

We have further substantiated our valuation using the DCF methodology. Our key assumptions include a Revenue and EBITDA CAGR of 12.4% and 14.8%, respectively, over the forecast period from FY25E to FY35E. This strong growth outlook is supported by SHK's expanding market share in both domestic and international markets. Notably, SHK has recently onboarded a leading MNC, with a potential revenue contribution of up to US$ 100mn. This development marks a significant milestone and could pave the way for onboarding additional global clients. The company is actively pursuing international expansion, having established offices in key markets such as Europe and the United States—initiatives that are expected to drive long-term growth.

In our DCF model, we assume a high-growth phase with a Revenue CAGR of 12.4% between FY25E and FY35E, followed by a terminal (perpetual) growth rate of 4%. We apply a discount rate of 10.4% (WACC) to derive a Target Price of INR 245, implying a 38% upside from current levels.

Exhibit 37: DCF Analysis

Particulars (INR mn)	FY26E	FY27E	FY28E	FY29E	FY30E	FY31E	FY32E	FY33E	FY34E	FY35E
EBITDA	3,478	4,165	4,816	5,552	6,301	7,335	8,691	9,560	10,702	11,738
Less: Tax	(613)	(827)	(1,022)	(1,907)	(2,165)	(2,567)	(2,952)	(3,346)	(3,897)	(4,287)
Capex	(342)	(600)	(500)	(511)	(580)	(667)	(1,534)	(2,812)	(1,237)	(1,021)
WC Changes	(389)	(862)	(1,278)	(1,362)	(1,450)	(1,578)	(1,789)	(1,968)	(2,165)	(2,382)
FCFF	**2,133**	**1,876**	**2,016**	**1,771**	**2,107**	**2,523**	**2,416**	**1,434**	**3,402**	**4,049**
TV										66,237
FCFF	**2,133**	**1,876**	**2,016**	**1,771**	**2,107**	**2,523**	**2,416**	**1,434**	**3,402**	**70,286**
Disc. factor	0.95	0.86	0.78	0.71	0.64	0.58	0.53	0.48	0.43	0.39
PV of FCFF	**2,031**	**1,618**	**1,576**	**1,254**	**1,352**	**1,467**	**1,273**	**685**	**1,472**	**27,560**

Enterprise Value	**40,289**
Less: Net Debt	6,317
Market Cap	**33,972**
Current Market Cap	**24,611**
Upside	*38.0%*
Target Price	**245**

Source: Company, MNCL Research Estimates

To account for potential variability in key assumptions, we have also conducted a sensitivity analysis, illustrating the impact of different growth and discount rate scenarios on the valuation, as shown below:

Target Price	Perpetual Growth Rate				
Discount Rate	3.0%	3.5%	4.0%	4.5%	5.0%
10.0%	233	248	264	284	308
10.4%	218	231	**245**	262	282
11.0%	195	205	216	230	245
11.5%	179	188	197	208	221
12.0%	165	172	181	190	200
12.5%	153	159	166	174	183
13.0%	142	147	153	160	167

Upside	Perpetual Growth Rate				
Discount Rate	3.0%	3.5%	4.0%	4.5%	5.0%
10.0%	31.3%	39.3%	48.7%	59.8%	73.1%
10.4%	22.7%	29.8%	**37.9%**	47.5%	58.8%
11.0%	9.5%	15.2%	21.6%	29.1%	37.8%
11.5%	0.7%	5.5%	10.9%	17.1%	24.3%
12.0%	-7.2%	-3.1%	1.5%	6.8%	12.8%
12.5%	-14.2%	-10.6%	-6.7%	-2.2%	2.8%
13.0%	-20.4%	-17.3%	-13.9%	-10.1%	-5.8%

Source: Company, MNCL Research Estimates

Peer Comparison: SH Kelkar vs. Galaxy Surfactants – Riding the FMCG Wave

Both SH Kelkar and Galaxy Surfactants operate in specialized, high-value niches within the broader FMCG value chain. While they are not direct-to-consumer companies, they are critical enablers of FMCG growth, supplying essential inputs such as fragrances, flavors, and surfactants that go into personal care, home care, and cosmetic products.

Exhibit 38: Peers Valuation

Particulars	SH Kelkar	Galaxy Surfactants
Core Business	Flavours & Fragrance	Surfactants and specialty chemicals
Nature of Business	B2B – Customized fragrance and flavour blends	B2B – Specialty surfactants and performance ingredients
Focus Area	**Primarily focus on olfactory solutions**, fragrances and flavours that are deeply embedded in consumer brand identity and product differentiation. **End use**: Personal care, homecare, F&B	**Provides the functional base of many FMCG products,** such as foaming agents and emulsifiers that enhance product performance. **End use:** Personal care, homecare, cosmetics
Business Model	Innovation & IP-driven, long development cycles, sticky clients	Volume & scale-driven, relationship-based, partially commoditized
Switching Cost for Clients	High – Fragrance is part of brand identity	Medium – Functionality can be replicated, but with effort
Key Growth Drivers	Premiumisation, personalisation, global fragrance demand	Hygiene, emerging market growth, natural/green surfactants
Financial parameters		
Revenue Segments	Fragrances (~85%), Flavours (~15%)	Performance Surfactants (~60%), Specialty Care (~40%)
Exports (% of sales)	~50%	~60%
Last 5-Year Financial Performance (FY19-24)	Revenue CAGR: 12% EBITDA CAGR: 12% PAT CAGR: 7% 5 Year Avg. EBITDA Margin: 14.6%	Revenue CAGR: 7% EBITDA CAGR: 6% PAT CAGR: 10% 5 Year Avg. EBITDA Margin: 13.2%
Valuation	**SHK is trading at a discount to its peers at 12.8x FY27E earnings**	**GSL is trading at a premium over SHK at 19.6x FY27E earnings**

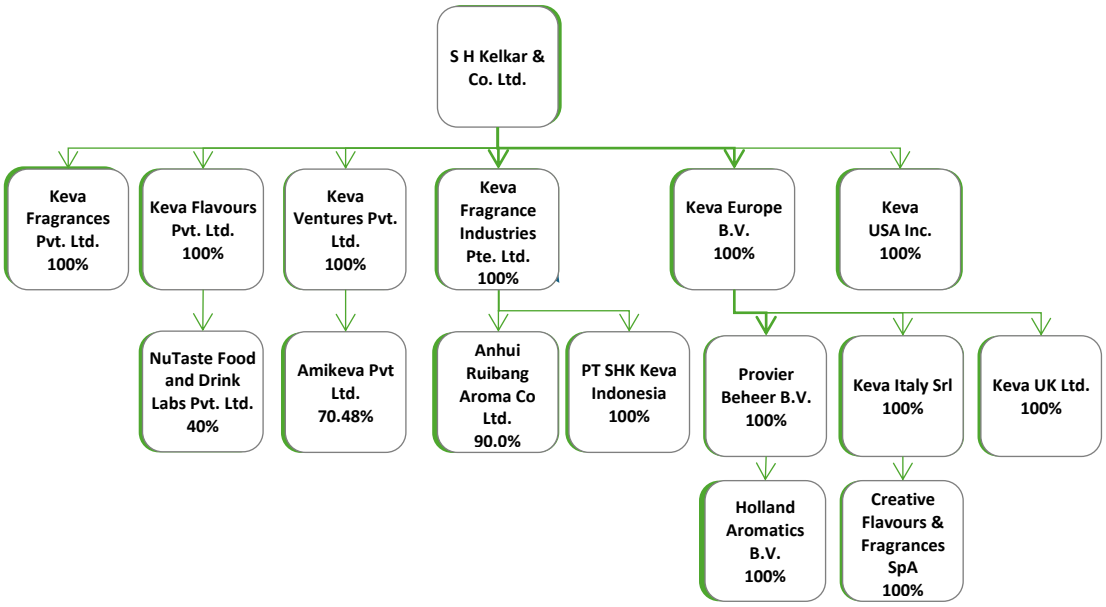
Source: Company, MNCL Research

Key Similarities Between SH Kelkar and Galaxy Surfactants

- **Both SH Kelkar and Galaxy Surfactants operate as upstream enablers in the FMCG value chain,** supplying essential ingredients like fragrances, flavours, and surfactants. Their B2B nature ensures lower brand risk, deep client engagement, and business stability without direct consumer exposure.
- **Their products are deeply embedded in the formulation of FMCG items, creating high switching costs for clients**. This, coupled with regulatory compliance, proprietary know-how, and long formulation cycles, results in significant entry barriers for new players.

Organization Structure

Exhibit 39: Organizational structure



Source: Company, MNCL Research

SHK operates across multiple geographies through its subsidiaries, with a presence in the UK, Netherlands, Italy, Singapore, China, Indonesia, and the USA. As per SEBI classification, its material subsidiaries include Keva Fragrances Pvt Ltd, Keva Flavours Pvt Ltd, Keva Europe B.V., and Creative Flavours & Fragrances S.P.A.

Key Subsidiaries:

- **Keva Fragrances Pvt Ltd**: SHK's Indian fragrance manufacturing arm, specializing in personal care, home care, and fine fragrances. With advanced R&D facilities in Mumbai, ISO-certified operations, and exports to 30+ countries, including the Middle East and Southeast Asia, it contributed 25% to consolidated revenue in FY24.
- **Keva Flavours Pvt Ltd**: Focused on food and beverage flavors, it develops natural and synthetic solutions for beverages, snacks, and dairy. Prioritizing clean-label and sustainable innovations, it serves both Indian and global markets and operates via a 40% stake in Nutaste Food and Drink Labs Pvt Ltd.
- **Keva Europe B.V.**: Headquartered in the Netherlands, it serves as SHK's European hub for fragrance and flavor distribution. Providing tailored solutions for personal care, home care, and food industries, it ensures compliance with EU regulations while strengthening Keva's market footprint in Europe.
- **Creative Flavours & Fragrances S.P.A (CFF)**: Acquired in 2018, this Italy-based subsidiary specializes in premium fragrance and flavor formulations for cosmetics, food, and household products. Leveraging Italy's perfumery heritage, CFF focuses on luxury, niche fragrances, and eco-friendly raw materials.

Exhibit 40: Material subsidiaries' financials FY24, (INR mn)

Subsidiary	Revenue	% contribution	PAT	% of consolidated PAT
SH Kelkar & Co. Ltd. (Parent)	**9,407**	***48.7%***	**943**	***77.1%***
Material Subsidiaries				
Keva Fragrances Pvt. Ltd	4,925	***25.5%***	510	***41.7%***
Keva Flavours Pvt. Ltd.	3,090	***16.0%***	248	***20.3%***
Keva Europe B.V.	685	***3.5%***	(115)	***(9.4%)***
Creative fragrances and flavours S.p.A	3,304	***17.1%***	198	***16.2%***

Source: Company, MNCL Research
Note: Keva Europe B.V. financials do not include financials of step-down subsidiaries

Key Management Personnels Details

Ramesh Vaze (Chairman, Non-Executive Director, Promoter): He has been associated with the company for over 60 years serving as a director since 1981. His experience in the F&F industry spans decades and under his leadership, India's first automated plant for fragrance compounding was setup in 1994. He holds a degree in Chemical Engineering from the University of Mumbai.

Prabha Vaze (Non-Executive Director, Promoter): She is a member of the promoter family and has been associated with the company for close to 45 years. She holds a B.Sc. degree from the University of Mumbai and is the spouse of Ramesh Vaze.

Kedar Vaze (Whole-time Director & Group CEO, Promoter): He is the son of Ramesh Vaze and serves as the Group CEO. He has been with the company for close to 29 years, holding roles like CTO and COO before becoming Group CEO. He holds a Chemistry degree from IIT Bombay and a management certification from Stanford University, US.

Other Key Managerial Personnel

Natarajan Krishnan (CEO, Flavours): He oversees the flavors division and has over 28 years of experience in the F&F industry, including 18 years at Givaudan and 10 years at Firmenich. He holds a degree in Chemistry from Madras Christian College and a Master's in Management from the University of Mumbai.

Rohit Saraogi (Group CFO & Company Secretary/Compliance Officer from 25 May 2022): He is a CA with over two decades of experience in leadership roles at various companies. Prior to joining Keva, he worked with Hindustan National Gas & Industries Limited, The Coca Cola Company, Reckitt Benckiser, Marico Ltd., and Diageo India. He is a commerce graduate with CA and CS qualifications.

Amit Gulati (COO, Asia Operations): He has been associated with the company for over 8 years. Previously, he has worked with companies like DSB, Phoenix International, Hero Group, and Dow Chemicals. He was associated with Dow Chemicals for 18 years in various roles. He is a Mechanical Engineer from Delhi University and an alumnus of INSEAD and ISB.

Avani Mainkar (Chief Scientific Officer): She has over 20 years of experience in R&D in the personal care space. She previously headed the personal care department at Marico for close to a decade and has been with SH Kelkar for over 5 years. She holds a Ph.D. in Pharmaceutical Sciences from the University of Mumbai.

Medha Tawde Bhagat (Executive VP, Fragrance Asia Corporate & Global Accounts): She has over a decade of experience in the fragrance industry and has prior experience with Firmenich and IFF, where she held roles like Category Director and Key Account Manager. She holds an M.Sc. in Chemistry from the University of Mumbai and an MBA from NMIMS.

Appendix 1: S H Kelkar & Co. Financials

Exhibit 41: Consolidated Income Statement

Particulars (INR mn)	FY21	FY22	FY23	FY24	FY25E	FY26E	FY27E
Revenue from operations	**13,220**	**15,642**	**16,865**	**18,408**	**21,170**	**23,657**	**26,614**
Growth	*18.6%*	*18.3%*	*7.8%*	*9.1%*	*15.0%*	*11.8%*	*12.5%*
COGS	7,495	8,972	9,294	9,264	11,813	13,130	14,638
Gross Profit	**5,716**	**6,387**	**6,818**	**8,125**	**9,357**	**10,527**	**11,976**
Margin	*43.2%*	*40.8%*	*40.4%*	*44.1%*	*44.2%*	*44.5%*	*45.0%*
Employee benefits expense	1,500	1,988	2,118	2,381	2,964	3,265	3,593
Other expenses	1,857	2,253	2,527	2,712	3,429	3,785	4,218
EBITDA	**2,359**	**2,146**	**2,173**	**3,033**	**2,964**	**3,478**	**4,165**
Margin	*17.8%*	*13.7%*	*12.9%*	*16.5%*	*14.0%*	*14.7%*	*15.7%*
Depreciation and amortisation	615	718	805	861	1,077	1,112	1,127
EBIT	**1,744**	**1,429**	**1,369**	**2,172**	**1,887**	**2,365**	**3,038**
Margin	*13.2%*	*9.1%*	*8.1%*	*11.8%*	*8.9%*	*10.0%*	*11.4%*
Other income	235	175	118	59	237	118	133
Finance costs	171	162	239	398	486	439	415
Share in JV (net of tax)	2	0	(2)	-	-	-	-
Exceptional Gain/(loss)	125	(120)	(203)	-	(1,199)	-	-
PBT	**1,935**	**1,323**	**1,044**	**1,833**	**439**	**2,045**	**2,756**
Margin	*14.6%*	*8.5%*	*6.2%*	*10.0%*	*2.1%*	*8.6%*	*10.4%*
Taxes	495	(172)	414	595	132	613	827
PAT	**1,440**	**1,494**	**629**	**1,238**	**307**	**1,431**	**1,929**
Non-controlling interest	(7)	9	18	11	-	-	-
Net Income	**1,447**	**1,486**	**612**	**1,227**	**307**	**1,431**	**1,929**
Margin	*10.9%*	*9.5%*	*3.6%*	*6.7%*	*1.5%*	*6.0%*	*7.2%*
Adjusted Net Income	**1,322**	**1,605**	**814**	**1,227**	**1,286**	**1,431**	**1,929**
Adjusted Margin	*10.0%*	*10.3%*	*4.8%*	*6.7%*	*6.1%*	*6.0%*	*7.2%*
Reported EPS (INR)	**10.48**	**10.81**	**4.53**	**8.95**	**2.22**	**10.34**	**13.94**

source: Company, MNCL Research Estimates

Exhibit 42: Consolidated Balance Sheet

Particulars (INR mn)	FY21	FY22	FY23	FY24	FY25E	FY26E	FY27E
PPE	3,332	3,442	3,329	3,697	3,685	3,368	3,070
Capital work-in-progress	79	40	222	70	258	0	0
Right of use asset	501	612	537	490	466	431	388
Goodwill	2,044	2,895	3,029	3,047	3,145	3,145	3,145
Other intangible assets	1,607	2,564	2,280	2,151	2,011	1,850	1,665
Investments	142	144	6	6	124	124	124
Deferred tax assets (net)	241	180	202	218	218	218	218
Other tax assets (net)	366	566	412	533	533	533	533
Other non-current assets	233	206	139	182	182	182	182
Total Non-Current Assets	**8,545**	**10,648**	**10,155**	**10,394**	**10,622**	**9,851**	**9,325**
Inventories	4,294	5,554	6,031	6,569	7,621	8,105	8,818
Trade receivables	3,745	4,613	4,382	4,896	5,428	6,004	6,654
Cash and cash equivalents	1,365	1,192	635	1,001	842	2,009	3,085
Other bank balances	26	33	37	30	30	30	30
Other current assets	725	930	980	1,136	1,694	1,419	1,331
Total Current Assets	**10,156**	**12,323**	**12,065**	**13,631**	**15,614**	**17,568**	**19,917**
Assets Held for Sale	280	-	-	-	-	-	-
Total Assets	**18,981**	**22,971**	**22,220**	**24,025**	**26,236**	**27,419**	**29,242**
Equity share capital	1,413	1,384	1,384	1,384	1,384	1,384	1,384
Other equity	8,103	8,749	9,260	10,744	11,051	12,483	14,412
Equity Attributable to Owners	**9,516**	**10,133**	**10,644**	**12,128**	**12,436**	**13,867**	**15,796**
Non-controlling interests	30	804	383	14	14	14	14
Total Equity	**9,546**	**10,937**	**11,026**	**12,142**	**12,449**	**13,881**	**15,810**
Long-term Borrowings	2,944	3,630	3,189	1,731	1,700	1,530	1,377
Lease liabilities	372	478	394	318	318	318	318
Others Non-current liabilities	22	190	18	20	20	20	20
Deferred tax liabilities (net)	362	486	507	474	474	474	474
Total Non-Current Liabilities	**3,700**	**4,784**	**4,107**	**2,542**	**2,511**	**2,341**	**2,188**
Short-term Borrowings	1,673	2,689	2,471	4,439	5,000	4,525	4,159
Lease liabilities	188	183	146	171	171	171	171
Trade Payables	2,473	3,520	3,651	3,551	4,725	5,109	5,630
Financial Liabilities - Others	281	226	283	427	427	427	427
Other current liabilities	447	483	520	560	760	773	663
Current tax liabilities (net)	673	149	16	193	193	193	193
Total Current Liabilities	**5,735**	**7,250**	**7,087**	**9,341**	**11,276**	**11,198**	**11,244**
Total Liabilities	**9,435**	**12,034**	**11,194**	**11,883**	**13,787**	**13,539**	**13,432**
Total Equity & Liabilities	**18,981**	**22,971**	**22,220**	**24,025**	**26,236**	**27,419**	**29,242**

source: Company, MNCL Research Estimates

Exhibit 43: Cash Flow Statement

Particulars	FY21	FY22	FY23	FY24	FY25E	FY26E	FY27E
PBT from continuing operations	1,935	1,323	1,044	1,823	439	2,045	2,756
Depreciation and amortization	615	718	805	893	1,077	1,112	1,127
Other non-cash non-operating items	181	383	334	442	486	439	415
Operating profit before WCC	**2,731**	**2,424**	**2,182**	**3,158**	**2,002**	**3,596**	**4,298**
Net change in working capital	-655	-1,298	176	-1,489	-769	-389	-862
Direct taxes paid (net)	-124	-623	-391	-595	-132	-613	-827
Net Cashflow from Operations	**1,952**	**502**	**1,967**	**1,075**	**1,101**	**2,593**	**2,609**
Purchase of PPE	-338	-268	-688	-609	-1,089	-342	-600
Investment in subsidiaries	-1,195	-1,612	-582	-241	-216	-	-
Other investing flows	44	280	241	33	-	-	-
Net Cashflows from Investing Activities	**-1,489**	**-1,600**	**-1,029**	**-818**	**-1,305**	**-342**	**-600**
Change in borrowings	1,252	1,001	-1,366	220	531	-645	-519
Share buyback	-	-667	-	-	-	-	-
Other financing items	-376	-208	-382	-138	-486	-439	-415
Net Cashflow from Financing Activities	**-655**	**-1,298**	**176**	**-1,489**	**-769**	**-389**	**-862**
Net Change	**1,339**	**-972**	**-811**	**339**	**-159**	**1,168**	**1,075**
Beginning Cash and Cash Equivalents	-331	1,021	307	-574	1,001	842	2,009
Cash taken over on acquisition of subsidiary	-	238	-	-	-	-	-
Effect of FX on Cash and Cash Equivalents	13	21	-71	-18	-	-	-
Ending Cash and Cash Equivalents	**1,021**	**307**	**-574**	**-253**	**842**	**2,009**	**3,085**

Source: Company, MNCL Research Estimates

Exhibit 44: Key Ratios

Particulars	FY21	FY22	FY23	FY24	FY25E	FY26E	FY27E
Growth %							
Revenue	18.6%	18.3%	7.8%	9.1%	15.0%	11.8%	12.5%
Gross Profit	18.3%	11.7%	6.8%	19.2%	15.2%	12.5%	13.8%
EBITDA	49.1%	-9.0%	1.3%	39.5%	-2.3%	17.3%	19.8%
Net Income	305.4%	2.7%	-58.8%	100.6%	-74.9%	365.5%	34.8%
Adj. Net Income	83.2%	21.4%	-49.3%	50.7%	4.8%	11.2%	34.8%
Margin %							
Gross	43.2%	40.8%	40.4%	44.1%	44.2%	44.5%	45.0%
EBITDA	17.8%	13.7%	12.9%	16.5%	14.0%	14.7%	15.7%
EBIT	13.2%	9.1%	8.1%	11.8%	8.9%	10.0%	11.4%
Net Profit	10.9%	9.5%	3.6%	6.7%	1.5%	6.0%	7.2%
Adjusted Net Profit	10.0%	10.3%	4.8%	6.7%	6.1%	6.0%	7.2%
Receivable days	96	98	97	92	89	88	87
Inventory days	186	194	210	224	219	219	211
Payable days	102	118	130	128	128	137	134
Working Capital cycle	**180**	**174**	**178**	**188**	**180**	**170**	**164**
Debt/Equity	0.54x	0.64x	0.56x	0.55x	0.58x	0.47x	0.38x
Net debt/EBITDA (x)	1.60x	2.68x	2.54x	1.86x	2.13x	1.30x	0.70x
Net debt/ Equity (x)	0.40x	0.53x	0.50x	0.46x	0.51x	0.32x	0.18x
ROCE	15.6%	9.9%	8.9%	14.6%	12.7%	15.2%	17.8%
Profit-to-sales	*10.9%*	*9.5%*	*3.6%*	*6.7%*	*1.5%*	*6.0%*	*7.2%*
Sales-to-assets	*78.0%*	*74.6%*	*74.6%*	*79.6%*	*84.2%*	*88.2%*	*93.9%*
Assets-to-equity	189.4%	204.8%	205.8%	199.6%	204.4%	203.8%	190.8%
RoE	16.2%	14.5%	5.6%	10.6%	2.5%	10.9%	13.0%
CFO/EBITDA	1.12x	0.35x	1.44x	0.49x	0.58x	1.10x	0.86x

Source: Company, MNCL Research Estimates

Appendix 2: Relative Analysis

Exhibit 45: Industry Data across Key Metrics

			Revenue			CAGR	CAGR	EBITDA margins			PAT margins		
Particulars	**Market Cap**	**CMP**	**FY22**	**FY23**	**FY24**	**FY22-24**	**FY24-27E**	**FY22**	**FY23**	**FY24**	**FY22**	**FY23**	**FY24**
S H Kelkar & Co.	**24,611**	**186**	**15,642**	**16,865**	**18,408**	**8%**	**12.9%**	**13.7%**	**12.9%**	**16.5%**	**6.0%**	**7.8%**	**9.4%**
Oriental Aromatics	10,310	306	8,664	8,458	8,318	-2%	NA	10.7%	6.4%	5.6%	6.2%	2.3%	1.1%
Privy Specialty	59,157	1,514	14,024	16,054	17,517	12%	NA	13.8%	11.6%	18.8%	6.9%	1.4%	5.4%
Camlin Fine sciences	31,137	166	14,043	16,713	15,950	7%	13.4%	10.9%	12.3%	4.6%	4.3%	3.1%	-5.8%
Mangalam organics	3,614	421	4,906	4,925	4,935	0%	NA	18.5%	-0.6%	7.8%	11.0%	-5.5%	0.9%
Kanchi Karpooram	1,749	403	2,511	2,199	1,456	-24%	NA	17.3%	8.8%	0.9%	12.2%	6.1%	0.4%
Vinati organics	1,64,901	1,591	16,126	20,648	18,899	8%	19.5%	26.9%	27.7%	24.9%	21.5%	20.3%	17.1%
Galaxy surfactants	75,811	2,138	36,527	44,290	37,647	2%	9.1%	11.0%	12.8%	12.3%	7.2%	8.6%	8.0%
Jubilant Ingrevia	1,06,933	671	49,494	47,727	41,358	-9%	10.0%	17.1%	11.8%	10.2%	9.6%	6.4%	4.4%
International Players (US$ mn)													
Givaudan	42,557	4,609	7,312	7,458	7,700	3%	5.7%	22.1%	20.6%	21.2%	12.3%	12.0%	12.9%
IFF	21,102	83	11,656	12,440	11,479	-1%	NA	16.4%	0.3%	-7.2%	2.3%	-15.0%	-22.4%
Firmenich	27,800	105	8,598	8,837	11,493	16%	9.1%	NA	15.9%	7.6%	NA	20.3%	20.1%
Symrise	14,771	106	4,019	4,525	4,865	10%	4.2%	21.1%	21.1%	16.9%	8.7%	9.8%	6.1%

	ROE						RoCE					
Particulars	**FY22**	**FY23**	**FY24**	**FY25E**	**FY26E**	**FY27E**	**FY22**	**FY23**	**FY24**	**FY25E**	**FY26E**	**FY27E**
S H Kelkar & Co.	**14.5%**	**5.6%**	**10.6%**	**2.5%**	**10.9%**	**14.0%**	**16.2%**	**8.9%**	**14.6%**	**12.7%**	**15.2%**	**19.0%**
Oriental Aromatics	9.2%	3.2%	1.4%	NA	NA	NA	9.5%	4.4%	3.4%	NA	NA	NA
Privy Specialty	12.7%	2.7%	10.8%	NA	NA	NA	10.5%	5.7%	10.1%	NA	NA	NA
Camlin Fine sciences	8.7%	6.6%	-11.0%	3.6%	9.1%	12.1%	8.8%	6.5%	NA	NA	NA	NA
Mangalam organics	19.3%	-9.4%	1.6%	NA	NA	NA	18.6%	NA	NA	NA	NA	NA
Kanchi Karpooram	18.0%	7.0%	0.3%	NA	NA	NA	18.3%	6.8%	-0.1%	NA	NA	NA
Vinati organics	20.6%	20.7%	13.8%	15.2%	16.5%	18.0%	23.1%	22.2%	13.2%	NA	NA	NA
Galaxy surfactants	18.3%	22.0%	14.8%	13.4%	13.6%	13.7%	18.1%	21.9%	15.2%	NA	NA	NA
Jubilant Ingrevia	21.9%	12.1%	6.8%	8.2%	9.5%	10.9%	19.8%	11.4%	7.0%	NA	NA	NA
International players												
Givaudan	22.1%	21.0%	21.7%	25.4%	23.7%	22.8%	25.6%	25.7%	25.5%	32.1%	NA	NA
IFF	2.0%	-9.7%	-15.9%	1.7%	6.9%	7.1%	18.7%	NA	NA	10.8%	NA	NA
Firmenich	NA	NA	12.7%	1.1%	4.4%	4.7%	NA	NA	NA	NA	NA	NA
Symrise	13.1%	13.7%	8.3%	9.5%	11.2%	12.0%	16.1%	15.7%	11.8%	12.8%	NA	NA

	P/E				EV/EBITDA			
Particulars	**FY24**	**FY25E**	**FY26E**	**FY27E**	**FY24**	**FY25E**	**FY26E**	**FY27E**
S H Kelkar & Co.	**19.9x**	**80.0x**	**17.2x**	**12.8x**	**10.2x**	**10.5x**	**8.9x**	**7.4x**
Oriental Aromatics	120.0x	NA	NA	NA	15.6x	NA	NA	NA
Privy Specialty	74.5x	NA	NA	NA	21.2x	NA	NA	NA
Camlin Fine sciences	0.0x	163.7x	31.6x	19.0x	54.3x	24.4x	14.9x	11.6x
Mangalam organics	82.2x	NA	NA	NA	14.1x	NA	NA	NA
Kanchi Karpooram	0.0x	NA	NA	NA	0.0x	NA	NA	NA
Vinati organics	49.9x	40.6x	32.9x	27.6x	30.7x	27.9x	22.2x	18.5x
Galaxy surfactants	26.5x	25.6x	21.9x	19.6x	16.4x	15.7x	14.0x	12.5x
Jubilant Ingrevia	58.0x	45.4x	36.4x	28.8x	27.4x	23.1x	18.5x	14.8x
International players								
Givaudan	30.9x	29.0x	27.3x	25.5x	22.4x	20.6x	19.7x	18.7x
IFF	18.3x	18.6x	17.5x	15.9x	15.4x	13.6x	13.1x	12.4x
Firmenich	28.8x	21.0x	19.9x	17.9x	13.5x	11.1x	10.8x	10.1x
Symrise	27.5x	23.2x	20.8x	18.8x	14.6x	13.4x	12.5x	11.5x

Source: Company, MNCL Research Estimates

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